BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company of New York, Inc.

Cases 25-E-0072 and 25-G-0073

May 2025

Prepared Redacted Testimony of
Staff Finance Panel:

David P. Warnock
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Office of Accounting, Audits and Finance

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Department of Public Service
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Q. Members of the Staff Finance Panel, referred to as the Panel, please state your names, employer, and business address.

A. Our names our David P. Warnock and Robert A. Palleschi. We are employed by the New York State Department of Public Service, referred to as the Department. Our business address is Three Empire State Plaza, Albany, New York 12223.

Q. Mr. Warnock, what is your position at the Department?

A. I am employed as a Principal Utility Financial Analyst in the Office of Accounting, Audits and Finance.

Q. Please describe your educational background and professional experience.

A. I graduated from New York University in May 2015, receiving a Master of Public Administration degree in Finance. Previously, I graduated from Washington University in St. Louis in May 2011, receiving a Bachelor of Arts degree in History and Educational Studies. I joined the Department in September 2015.

Q. Mr. Warnock, please briefly describe your

current responsibilities with the Department.

A. I work on assignments that involve analyzing the financial condition, financing mechanisms, risk, cost of debt, cost of equity, diversification, and relative business positions of utilities and their holding company parents in the context of rate cases, financing proposals, and special projects.

Q. Have you previously testified in a regulatory proceeding before the New York State Public Service Commission, referred to as the Commission?

A. Yes. I previously testified in the proceedings of Consolidated Edison Company of New York, Inc., referred to as Con Edison or the Company, in Cases 16-E-0060, 16-G-0061, 19-E-0065, 19-G-0066, and 22-S-0659; Orange and Rockland Utilities, Inc., referred to as Orange and Rockland, in Cases 18-E-0067 and 18-G-0068; Corning Natural Gas Corporation, referred to as Corning, in Cases 20-G-0101, 21-G-0394, and 24-G-0447; New York American Water Company, Inc., acquisition by Liberty Utilities Company in Case 20-W-0102; Liberty Utilities (New York Water)

Corp. in Case 23-W-0235; and National Fuel Gas Distribution Corp., referred to as NFGD in Case 23-G-0627.

Q. Mr. Palleschi, what is your position at the Department?

A. I am employed as a Utility Financial Analyst Trainee in the Office of Accounting, Audits and Finance.

Q. Please describe your educational background and professional experience.

A. I graduated from Marist College in May 2023, receiving a Bachelor of Science degree in Business Administration with a concentration in Finance. Prior to joining the Department, I worked at Enterprise Rent-A-Car for three years. I started as a Management Trainee Intern while in school and was promoted to Management Trainee after graduation. My duties included renting cars, providing customer service, and helping manage a fleet of vehicles. I also assisted with the mentoring of numerous new employees, management of customer accounts, and the closing of the branch monthly cash box. I joined the Department in June 2024.

Q. Please briefly describe your current responsibilities with the Department.

A. I am responsible for analyzing the financial condition, financial mechanisms, risk, cost of debt, cost of equity, diversification, and relative business positions of utilities and their holding company parents. My assignments include rate cases, financing proposals, and special projects.

Q. Have you previously testified in a regulatory proceeding before the Commission?

A. Yes. I previously testified in the most recent rate proceeding for Corning in Case 24-G-0447.

Q. What is the purpose of the Panel's testimony in these proceedings?

A. The purpose of our testimony is to recommend a fair rate of return to be used by the Staff Accounting Panel to determine the revenue requirement for Con Edison's electric and gas operations for the 12-month period ending December 31, 2026, referred to as the Rate Year. We will also respond to the testimonies of Company witnesses Yukari Saegusa, in the Company's Cost of Capital Panel testimony, and

Joshua C. Nowak, in the Company's Return on Equity Panel testimony.

Q. In your testimony, does the Panel refer to, or otherwise rely upon, any information obtained during the discovery phase of these proceedings?

A. Yes, we have referred to and relied upon responses to Information Requests, referred to as IRs, provided by the Company. These responses are contained in Exhibit__(SFP-1).

Q. Is the Panel sponsoring any other exhibits?

A. Yes. We are also sponsoring Exhibit__(SFP-2) through Exhibit__(SFP-27). These exhibits are described throughout our testimony.

SUMMARY

Q. What overall after-tax rate of return does the Panel recommend for the Rate Year?

A. We recommend an overall after-tax rate of return of 6.94 percent. Our recommended pro forma rate of return is provided in Exhibit__(SFP-2).

Q. How does this compare to the after-tax rate of return requested by the Company?

A. In its April 10, 2025, Preliminary Update to the Accounting Panel testimony, the Company requested an after-tax rate of return of 7.27

percent.

Q. Please describe the major differences between the Panel's recommended rate of return and Con Edison's proposed rate of return.

A. The major difference between our recommended overall rate of return of 6.94 percent and the Company's overall rate of return of 7.27 percent is due to our recommended 9.30 percent return on equity, referred to as ROE, versus the Company's proposed ROE of 10.00 percent. In addition, we recommend using a cost rate of 4.79 percent for long-term debt, as opposed to the Company's proposed 4.78 percent long-term debt cost rate. We agree with the Company's proposed use of a 48.00 percent common equity ratio, although we arrived at this recommendation for different reasons and through a different approach than the Company.

Q. In relation to the revenue requirement, how much does a 1.00 percent change in the common equity ratio equate to?

A. Based upon the Staff Accounting Panel's recommended rate base of $31.86 billion for electric and $11.13 billion for gas, a 1.00

percent change in the common equity ratio equates to approximately $25.96 million for electric service and $9.08 million for gas service.

Q. In relation to the revenue requirement, how much does a 10-basis point change in ROE equate to?

A. A 10-basis point change in ROE equates to approximately $21.32 million for electric service and $7.46 million for gas service.

Q. Please summarize the remainder of your testimony.

A. In our testimony we will explain why our capital structure and cost of debt recommendations are reasonable and consistent with Commission policy. Our testimony will also provide an overview as to how the Commission established financial protections for Con Edison and provide our recommendation on these financial protections going forward. In addition, we will explain why the continuation of the existing variable rate debt cost reconciliation is reasonable and why the Company's request for a fixed rate debt reconciliation is unnecessary and should be denied at this time. We will also

demonstrate the reasonableness of our ROE recommendation using two different equity costing methodologies, with each methodology weighted consistent with how the Commission has repeatedly weighted them in litigated cases over the past 30 years. In doing so, we will demonstrate that Con Edison's requested ROE is excessive and unnecessary for the Company to continue to attract capital at reasonable terms.

FAIR RATE OF RETURN

Q. You mentioned that the fair rate of return you recommend will be used to establish the Company's respective electric and gas revenue requirements. Please explain what you mean by revenue requirement.

A. In the context of Commission rate proceedings, the revenue requirement is the dollar amount required by a company to provide service during a rate year. It is the amount that will allow a company to recover all reasonably expected operating costs, including taxes and depreciation. In addition, the revenue requirement includes a fair return that will allow a utility the opportunity to recover the

cost of funds supplied to it by investors. The funds provided by these investors are needed for a company to finance its long-term utility assets and working capital requirements, which in the rate-setting context, are referred to as its rate base.

Q. What is a fair rate of return for a regulated utility?

A. A fair rate of return for a regulated utility is one that enables the utility to provide safe and adequate service to its customers, while at the same time assuring a company continuing support in the capital markets for both its debt and equity securities, at terms that are reasonable given a company's risk. The fair rate of return, therefore, allows a utility to recover its prudently incurred cost of debt, while providing its common equity investors the opportunity to earn a return that is commensurate with the risk of their investment.

Q. How is a fair rate of return calculated?

A. The fair rate of return for a utility company is calculated through a weighted average of the individual cost components of its expected

capitalization during the rate year. The two primary sources are long-term debt and common equity. Customer deposits, while typically a very small component, are almost always reflected in the expected capitalization as well because they are a relatively permanent and stable source of capital employed by utilities. Preferred stock is also sometimes a source of capital, although generally in much smaller proportions than long-term debt or common equity. Because the Commission uses a fully forecasted rate year, it is also important that the rate year capitalization reflects the utility's projected capital requirements and that it is consistent with the goal of achieving the optimal cost of capital, particularly as it relates to the use of leverage.

Q. How are the cost rates of the individual cost components typically calculated?

A. The cost rates associated with a utility's long-term debt, preferred stock, and customer deposits are relatively straightforward to ascertain. The embedded cost of both the long-term debt and preferred stock components can be

readily calculated by examining the contractual terms; that is, the interest payments for the long-term debt and the preferred dividends for the preferred stock. However, the projected impact of the cost of new or incremental long-term debt or preferred stock issuances requires estimates using relevant market data. The cost rate for customer deposits is simply a matter of applying the cost rate that is currently prescribed by the Commission. The cost of common equity, however, is neither contractual nor prescribed by the Commission. Its calculation is further complicated by the fact that it cannot be directly observed, and instead, requires estimation and the opinion of analysts.

Q. Is the cost of common equity typically more expensive than the cost of long-term debt for a utility?

A. Yes. Even though both lenders and common equity investors supply a utility with the funds it needs to build and operate its system, the common equity investors only earn a return after the payment of all other expenses. Because

these investors run the risk that their achieved returns will not equal their expectations, the return required by a given utility's common equity investors is nearly always higher than that of a utility's long-term debt holders. Exceptions may exist during periods of disturbances in the market, such as during the recessionary period of 1980 to 1982, during which the economy was beset with very high inflation and volatile interest rates. During that period, utility bond yields were at least as high as the equity returns the Commission allowed, and far above the returns allowed by most state regulatory commissions.

Q. How can a utility's cost of common equity be measured?

A. The return requirements of a utility's common equity investors can only be gleaned through a cost of equity analysis. Generally, the Commission has favored market-based methodologies, such as the Discounted Cash Flow methodology, or DCF, and the Capital Asset Pricing Model, or CAPM, to estimate the return required by common equity investors.

CAPITAL STRUCTURE

Q. What does a company's capital structure represent?

A. The capital structure is the mixture of types of capital, such as long-term debt, common equity, and preferred stock, which a company uses to finance its business. In the case of a regulated utility company, it is the capital deployed to support its rate base.

Q. What was Con Edison's actual capital structure on September 30, 2024?

A. The Company's actual stand-alone capital structure, as of September 30, 2024, consisted of a long-term debt ratio of 51.68 percent, a customer deposits ratio of 0.94 percent, and a common equity ratio of 47.39 percent. This is illustrated in the Company's Exhibit__(AP-5), Schedule 1, in its initial filing.

Q. What is Con Edison's projected Rate Year capital structure for its electric and gas operations?

A. As illustrated in the Company's Exhibit__(AP-5) UPD, Schedule 2, of its April 10, 2025, Preliminary Update filing, Con Edison forecasted a long-term debt ratio of 51.55 percent, a

customer deposits ratio of 0.80 percent, and a common equity ratio of 47.65 percent.

Q. How did the Company develop this capitalization?

A. In developing its Rate Year capitalization, Con Edison started with its stand-alone capital structure, as of September 30, 2024. This stand-alone capitalization was then projected through the Rate Year, based on the Company's forecasted funding requirements during both the Linking Period, from October 1, 2024, through December 31, 2025, and the Rate Year. The Company's forecasted long-term debt component accounts for prospective new debt issuances of **BEGIN CONFIDENTIAL INFORMATION** [redacted] **END CONFIDENTIAL INFORMATION** during the Linking Period and **BEGIN CONFIDENTIAL INFORMATION** [redacted] **END CONFIDENTIAL INFORMATION** during the Rate Year. On December 1, 2024, $250 million in debt obligations matured. During the remainder of the Linking Period and the Rate Year, no other debt obligations will mature.

Q. How did Con Edison project its Rate Year balance of customer deposits?

A. Con Edison projected its Rate Year balance of

customer deposits based on the $393.2 million actual average balance during the 12-month period ended September 30, 2024, or the Historic Test Year. The Company then forecasted that average balance to rise, which resulted in an average balance of approximately $470.0 million during the Rate Year.

Q. How did the Company determine its projected common equity?

A. The Company's projection of the common equity component is largely premised on its assumptions regarding the level of earnings during the Linking Period and the Rate Year, as well as the amounts and timing of equity-related transactions between Con Edison and its parent company, Consolidated Edison, Inc., referred to as CEI. Those transactions consist of dividend payments made by the Company to CEI and equity infusions from CEI to Con Edison.

Q. Does the Company propose to use its projected capital structure for ratemaking purposes?

A. The Company's proposed ratemaking capital structure deviates slightly from its projection. Specifically, the Company proposes a capital

structure consisting of 51.21 percent for long-term debt, 0.79 percent for customer deposits, and 48.00 percent for common equity.

Q. Is the Company's proposed capital structure reasonable for the purpose of establishing the Company's overall rate of return that will be used to derive its electric and gas revenue requirements for the Rate Year?

A. Yes. A capital structure reflecting a 48.00 percent common equity ratio is reasonable for setting rates. We note that our reasons for recommending a 48.00 percent common equity ratio are different than those of the Company. Specifically, Con Edison based its proposal on its stand-alone capital structure, whereas we arrived at this recommendation by considering the consolidated capital structure of CEI.

Q. Please explain why the Panel relied on consolidated capital structure.

A. It is a long-established policy of the Commission to use the consolidated capital structure when setting rates for an affiliated utility company in instances where there are insufficient mechanisms in place to financially

separate and insulate the regulated utility from its parent. As we will explain later in our testimony, Con Edison is not adequately insulated from the risks posed by CEI. Therefore, we must examine CEI's actual financing practices and, more importantly, its projected mix of long-term debt and common equity during the Rate Year.

Q. You mentioned that Con Edison uses its stand-alone capital structure to project its Rate Year capitalization. Please explain what you mean by stand-alone capital structure.

A. When we say stand-alone capital structure, we are referring to the capitalization of Con Edison, alone. That is, without accounting for the individual capitalizations of its parent, CEI, or the other subsidiaries owned by CEI.

Q. Please explain why there are both stand-alone and parent company capitalizations.

A. A corporation is considered a utility holding company if it owns 10 percent or more of the stock of an electric or gas utility operating company. Today, nearly all electric utilities, gas utilities, and combination electric and gas

utilities, are owned by holding companies. Con Edison, a combination electric, gas, and steam utility, is wholly owned by its holding parent company, CEI. CEI also owns 100 percent of the common stock of Orange and Rockland, also a combination utility, as well as wholesale transmission businesses. In general, all securities sold to the public in the United States must be registered with the Securities and Exchange Commission, referred to as SEC. Unless they are privately held, utility holding companies must register with the SEC to issue common stock, as well as any long-term debt or preferred stock to the public. Many large utility operating companies, such as Con Edison, are also registered, but only for the purposes of issuing long-term debt or preferred stock. Because both Con Edison and CEI are registered with the SEC, both companies provide financial information to investors in various reports to the SEC. Orange and Rockland, however, is no longer registered with the SEC, and thus, can only issue long-term debt or preferred stock through private placements. CEI reports its

consolidated financial position in its annual 10-K and quarterly 10-Q reports to the SEC. In those filings, CEI also presents the stand-alone financial statements for its wholly owned utility subsidiary, Con Edison. CEI also separately prepares stand-alone financial statements for Orange and Rockland on an annual and quarterly basis. It is the stand-alone capital structure of Con Edison, presented in these financial statements, that the Company proposes the Commission use to determine its overall rate of return.

Q. Is it appropriate to use the reported stand-alone capital structures of utilities that are subsidiaries of larger holding companies?

A. Generally speaking, the use of a utility subsidiary's stand-alone capitalization should only be employed after conducting an analysis of the parent holding company's financing practices. In recent years, both Staff and the Commission have concluded that the capitalizations of stand-alone utility operations may be appropriate for rate-setting purposes in situations where the utility and the

subsidiary have sufficient legal and operational separation in place.

Q. In what situations would the legal and operational corporate credit structures be deemed sufficient?

A. Credit rating agencies have found the stand-alone capital structures to be appropriate in those situations where effective ring-fencing mechanisms have been put into place to insulate the utility subsidiary from the potential risks posed by the parent's riskier, non-regulated activities. In those instances, the credit rating agencies have acknowledged ring-fencing mechanisms to be sufficient to justify a ratings separation from the parent and other subsidiaries. Depending on the magnitude and composition of the unregulated businesses and the parent's financing practices, effective ring-fencing mechanisms will result in a minimum of at least a one- to three-notch difference in the ratings of the regulated utility and its diversified parent. For instance, Central Hudson Gas and Electric Corporation, referred to as Central Hudson, has substantial ring-fencing.

It is rated "Baa1" by Moody's Investor Service, referred to as Moody's, while its diversified holding company parent, Fortis, Inc., is rated two notches lower at "Baa3."

Q. How is adequate ring-fencing generally achieved?

A. Adequate ring-fencing is generally achieved by restricting the shifting of assets and liabilities between the parent and the subsidiary. This is generally accomplished through a variety of restrictive covenants. In addition to restrictive covenants, two other devices have proven to be effective in persuading credit agencies to deem a utility as adequately ring-fenced from its parent. These are the golden share and non-consolidation opinion of counsel.

Q. What is a golden share?

A. A golden share is a special class of preferred stock to be held by a trustee approved by the Commission. The holder of the golden share would be independent of the utility and its affiliates and would be able to prevent the initiation of a voluntary bankruptcy, should it occur in the future. The holder of the golden

share would exercise the voting right for the protection of the interests of New York ratepayers.

Q. What is the purpose of a non-consolidation opinion of counsel?

A. A non-consolidation opinion of counsel is a letter that demonstrates the legal and credit separation of a company from its parent and related affiliates.

Q. What other major utilities operating in New York State have ring-fencing provisions in place that the rating agencies have found to be effective?

A. All the major electric and gas combination utilities in New York State except for Con Edison and its affiliate, Orange and Rockland, have effective ring-fencing provisions in place. In addition, the gas distribution utility companies, Brooklyn Union Gas Company d/b/a National Grid New York and KeySpan Gas East Corporation d/b/a National Grid have effective ring-fencing provisions in place. Examples of the ring-fencing provisions in place for these utilities are contained in Exhibit__(SFP-3).

Q. Is Con Edison currently subject to any ring-

fencing provisions?

A. Con Edison is currently subject to certain restrictions as a result of CEI's merger and acquisition of Orange and Rockland in 1999, which was approved by the Commission in the April 2, 1999, Order Authorizing Merger in Case 98-M-0961, referred to as the 1999 Order. Appendix A of the Settlement Agreement approved by the Commission in the 1999 Order contains certain restrictions resulting from the merger that may be considered forms of ring-fencing. Page 5 of Appendix A contains provisions designed to maintain financial integrity following the merger and acquisition. Among those is a provision that requires the debt of the regulated entity, Con Edison or Orange and Rockland, to be raised by the regulated utility and not by the holding company, CEI. Another provision restricts the regulated utility from paying out more than 100 percent of income available for dividends, calculated on a two-year rolling average basis. In addition, without prior permission from the Commission, neither regulated utility is permitted to: make

loans to; guarantee the obligations of; or pledge its assets as security for indebtedness to the holding company or any affiliate.

Q. Has the Company had any problems abiding by the restrictions stipulated in the 1999 Order?

A. No, we recognize that the Company has not had any issues complying with the restrictions established in the 1999 Order. However, despite this fact, ring-fencing triggers were adopted for Con Edison in previous electric and gas cases as a result of the growth of CEI's non-utility businesses at those times.

Q. Please explain the nature of these ring-fencing triggers.

A. The ring-fencing triggers set in those proceedings established certain financial parameters at specific threshold levels. In the event the Company hit the threshold levels specified by the triggers, the Company has been required to make a filing with the Commission stating whether the implementation of stronger ring-fencing provisions would be necessary at that time.

Q. In what cases were these ring-fencing triggers

adopted?

A. Ring-fencing triggers were first included in the Joint Proposal in Cases 16-E-0060 and 16-G-0061, and adopted by the Commission in the January 25, 2017, Order Approving Electric and Gas Rate Plans. They were subsequently included in the Joint Proposal filed in Cases 19-E-0065 and 19-G-0066, approved by the Commission in the January 16, 2020, Order Adopting Terms of Joint Proposal And Establishing Electric and Gas Rate Plan. They were included again in the Joint Proposal for Cases 22-E-0064 and 22-G-0065, approved by the Commission in the July 20, 2023, Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans with Additional Requirements, referred to as the 2023 Rate Order.

Q. What is the purpose of the ring-fencing triggers?

A. The purpose of the ring-fencing triggers is to act as a warning sign, so to speak, to alert Staff and the Commission if the financial footprint of the wholesale transmission and competitive energy businesses grow large enough

to potentially harm the utility businesses.

Q. In her direct testimony, did Company witness Saegusa comment on these ring-fencing triggers and whether they should remain in effect in their current form in this steam proceeding?

A. Yes, Company witness Saegusa commented on these ring-fencing triggers in her initial testimony. Specifically, she indicated that these ring-fencing triggers should not remain in effect based on their original purpose as stated in Staff's testimony in prior cases. Company witness Saegusa contends that this view is no longer valid because CEI has publicly announced that it will no longer invest in long-haul natural gas pipelines, divested its interest in Stagecoach Gas Services, capped its level of investment in Mountain Valley Pipeline, and sold off its clean energy businesses in 2023.

Q. Does the Panel agree with Company witness Saegusa's recommendation?

A. Yes. We recognize that CEI has reduced its exposure to non-utility operations in recent years, thereby reducing the risks associated with these businesses. Therefore, we no longer

recommend continuing the ring-fencing triggers in this proceeding at this time.

Q. In addition to the ring-fencing triggers, does the Panel recommend that the other requirements associated with the financial protections also be discontinued?

A. No. In prior proceedings, the Company agreed to annually provide Staff with the five-year earnings forecasts for CEI and each direct subsidiary of CEI, e.g., Con Edison, Orange and Rockland, and Consolidated Edison Transmission, Inc. These forecasts included the income statement, balance sheet, and cash flow statement for each listed entity. We recommend that the Company be required to continue to provide Staff with these forecasts annually, for each of the entities listed above, on a confidential basis, no later than 30 days after they have been reviewed by the finance committee of CEI's Board of Directors. The Company should also update Staff when there are material changes to these forecasts. In addition, after the Company's external auditors complete their annual audit, we recommend that the Company

continue to be required to provide Staff, on a confidential basis, the actual financial statements for CEI and each direct subsidiary of CEI for the previous year within 30 days after the completion of the external audit. This financial information is an important component of Staff's ongoing review. Therefore, we recommend that the Commission direct the Company to continue to provide the financial information confidentially to Staff.

Q. Please explain how you evaluated the Company's proposed Rate Year capitalization.

A. In the absence of strong ring-fencing protections, it has typically been the practice of Staff and the Commission to employ a consolidated approach. This begins with reviewing the consolidated capital structure of the utility's parent company, in this case CEI, and adjusting the consolidated capital structure, if need be, to reflect the relative business and financial risks of the various subsidiary companies. In short, the primary purpose of this analysis is to ascertain whether the stand-alone capital structures of the parent

and its various subsidiaries reflect rational financing policies.

Q. Please explain rational financing policies.

A. Nearly all utility holding companies have both regulated utility assets, as well as unregulated businesses. Given the significant differences in business risk between unregulated operations and regulated utilities, there should be differing amounts of equity employed in each type of business commensurate with the degree of risk involved. Specifically, when we refer to rational financing policies, we are referring to the concept that investments or activities with greater business risk must be offset with less financial risk to achieve the same credit rating as those investments or activities that have lower business risk. Our goal is to determine whether these higher business risk non-utility subsidiaries are being capitalized with sufficient common equity, such that they could achieve the same credit rating on a stand-alone basis as the utility operations.

Q. Please explain the concept of business risk and financial risk in general, and how it is

typically assessed.

A. Business risk is the risk inherent in a company's operations and reflects the risk that it will fail to achieve its expected financial performance. It is affected by factors such as a company's sensitivity to the overall economy; the level of competition the company faces; and the diversity of the company's customer and/or supplier bases. Financial risk, on the other hand, is the risk a company faces from the uncertainty of the amount of leverage used to finance its investments. Both major credit rating agencies, Moody's and S&P Global Ratings, referred to as S&P, routinely assess the level of business risk in tandem with the financial risk profiles of debt issuers whenever credit ratings are reviewed and/or assigned.

Q. On what basis does the Panel conclude that the level of business risk faced by non-utility businesses is substantially greater than that faced by utility operations?

A. Non-utility businesses face competition and do not benefit from all the regulatory attributes and safeguards afforded to utilities. A Moody's

article from several years ago entitled, "Regulated Utilities U.S. – Utility Diversification Strategies Seek Growth While Limiting Risk", dated October 18, 2016, is included as Exhibit__(SFP-4). On page three of this report, Moody's provides a chart entitled "Business Risk Spectrum", which identifies activities considered to be higher risk on the spectrum compared to those considered to be lower risk. The chart clearly illustrates that non-utility investments are riskier. Specifically, the chart shows that businesses such as interstate pipelines and various clean energy businesses are inherently higher risk than utilities.

Q. How does S&P generally assess the risk profiles of utilities?

A. With respect to its assessment of business risk, S&P examines the relative strength of a company's business position and assigns it one of six distinct business risk profiles, or categories. In descending order, the six categories range from "Excellent" for companies with relatively very little business risk, to

"Vulnerable" for companies with extremely high levels of business risk. Similarly, its assessment of financial risk uses six distinct financial risk profiles that descend from "Minimal" for companies with little to no debt on their balance sheets to "Highly Leveraged" for companies financed very aggressively with debt. Nearly all regulated utilities and holding companies that are heavily utility-focused fall in the top two business risk categories, "Excellent" and "Strong."

Q. What is S&P's assessment of Con Edison's business risk profile?

A. S&P, in its March 20, 2025, report entitled, "Consolidated Edison Co. of New York Inc.," contained in Exhibit__(SFP-5), assigns an "A-" rating and "Excellent" business risk to Con Edison, largely due to the Company's "management of regulatory risk and the essential nature of the regulated utility services it provides in an economically broad and diverse service territory, which includes the most populous city in the U.S." In that same report, S&P notes the "lower-risk rate-regulated electricity

transmission and distribution; gas distribution; and steam distribution operations," as well as the Company's "large customer base [that] supports cash flow stability."

Q. What is Moody's assessment regarding Con Edison's risk profile?

A. Moody's, in its March 28, 2025 report entitled, "Credit Opinion: Consolidated Edison Company of New York, Inc.," included as Exhibit__(SFP-6), states that Con Edison's "A3" rating is supported by "its large size, at around $42 billion rate base, and the diverse underlying economy in and around New York City," as well as its "low business risk as a transmission and distribution utility." The report also states that it is supported by "a suite of regulatory cost recovery mechanisms that provide consistent cash flow under normal operating and economic conditions."

Q. Given the typical variances in business risk between utilities and unregulated companies, what capitalization differences would be expected between utility subsidiaries and unregulated subsidiaries?

A. As a result of their low business risk nature, utility companies are generally able to employ significantly higher levels of financial risk than their non-utility counterparts for a given credit rating. Unregulated businesses are riskier than utilities because they face competition and do not benefit from set rates designed to recover all of their prudently incurred costs; therefore, such businesses would be expected to have, relative to utilities, larger equity "cushions", to protect against variances in earnings impacting their ability to meet debt obligations. Essentially, unregulated investments should have lower levels of financial leverage.

Q. Is it common industry practice for unregulated investments to have lover levels of financial leverage than regulated utilities?

A. No, this is not always the case in practice. Holding companies often capitalize their unregulated businesses with more leverage than their utility businesses. In such a circumstance, we would say that a holding company is not employing rational financing

policies.

Q. How did the Panel determine whether CEI is employing rational financing policies?

A. We examined CEI's past and present financing practices considering the higher business risk associated with its non-utility businesses. Although CEI sold much of its non-utility operations, this is still an important exercise to confirm that CEI is rationally financed.

Q. What did the Panel's analysis determine with respect to CEI's financing practices?

A. At times in the past, CEI has financed its non-utility businesses with proportions of common equity that we consider inadequate. For instance, as Exhibit__(SFP-7) demonstrates, from 2018 through 2021, CEI's average consolidated common equity ratio was approximately 47.36 percent. For that same period, the non-utility businesses were supported by an average common equity ratio of approximately 43.76 percent. However, Exhibit__(SFP-7) also shows that CEI's consolidated capital structure averaged 48.26 percent for 2022 through 2024. Further, the common equity ratios supporting the non-utility

businesses averaged 71.27 percent during this period. This indicates that rational financing policies have been employed by CEI in recent years. We note that it was during this period that CEI sold off its clean energy businesses, previously its riskiest line of business.

Q. What does the Panel conclude from its analysis of CEI's past and present financing practices?

A. The fact that the common equity ratios of the non-utility businesses fell to such low levels from 2018 to 2021 was potentially a cause for concern because these levels implied that the financial strength of the utilities were being used to subsidize CEI's non-utility operations. Nevertheless, CEI's financial results from 2022 to 2024 reveal that its non-utility businesses were capitalized appropriately. We expect that CEI will continue to target a common equity ratio of 48.00 percent and exhibit a capital structure approximating this level going forward. Thus, we believe that the Company's proposal to set rates using a 48.00 percent common equity ratio is appropriate.

Q. Does the Panel have any other observations

regarding the reasonableness of its recommended 48.00 percent common equity ratio for the purposes of establishing the Company's overall rate of return and its electric and gas revenue requirements for the Rate Year?

A. While we believe it is incumbent upon management of the parent company to allocate its common equity in a rational manner, inherent in our conclusion regarding the appropriateness of a given ratemaking capital structure is our expectation that the mix of capital deployed also be done so in an optimal manner, that is, the most cost effective manner. For at least the past decade, the Commission has consistently found that an authorized common equity ratio for Con Edison of 48.00 percent was optimal and that it was also sufficient for the Company to continue to attract capital at terms that are reasonable. We believe that a 48.00 percent common equity ratio will be sufficient for the Company to maintain its financial integrity during the Rate Year.

Q. What does the Panel mean by optimal capital structure?

A. An optimal capital structure is one that strikes an ideal balance between the debt and equity ratio of a firm to minimize its overall cost of capital. A capital structure that contains too much debt increases a company's overall financial risk and could result in non-investment grade credit ratings, which could make it difficult to access the capital markets when necessary. Conversely, while a capital structure containing too much equity may lower a company's financial risk, it would also result in higher capital costs given that common equity is significantly more expensive than debt.

COST RATES

Q. Please explain how the Panel derived the cost rates shown in Exhibit__(SFP-2).

A. As illustrated in Exhibit__(SFP-2), we employed three separate cost rates, together with their respective capitalization ratios, to formulate our overall rate of return recommendation. We will discuss each cost rate in turn.

Q. Please explain the first cost rate shown in Exhibit__(SFP-2).

A. The first cost rate is the cost of long-term

debt. We reviewed the Company's 4.78 percent cost rate determination and made a few adjustments to the underlying numbers, which resulted in our 4.79 percent cost rate recommendation. Exhibit__(SFP-8) shows how this cost rate was derived.

Q. Please explain the second cost rate shown in Exhibit__(SFP-2).

A. The second cost rate is the cost of customer deposits. Commission regulations in 16 NYCRR Sections 90.3 and 91.1 require an annual calculation of the customer deposits rate. That rate is updated by the Commission effective on January 1 of each year. The 3.00 percent customer deposits rate is the rate that was prescribed by the Commission on November 14, 2024 in Case 24-M-0467, for use beginning January 1, 2025.

Q. Please explain the third cost rate shown in Exhibit__(SFP-2).

A. The third and final rate is the cost of common equity. As we will demonstrate, the Company's 10.00 percent proposed cost rate for common equity is excessive and should be rejected by

the Commission. Our recommendation of a 9.30 percent cost of equity is included in our overall capitalization for the Rate Year.

Q. Regarding the cost of the long-term debt component, please explain how the Panel adjusted the 4.78 percent cost rate proposed by the Company.

A. As we explained earlier, Con Edison's forecasted Rate Year cost of debt largely reflects its current actual, or "embedded", cost of debt. It also reflects projections regarding the amounts, timing, maturities, and cost rates for new 30-year debt issuances anticipated during the Linking Period and Rate Year. Our 4.79 percent forecasted Rate Year cost of debt differs from the Company's because we have employed different cost rate estimates for the new issuances projected during the Linking Period and the Rate Year. While we do not take issue with the amounts, timing, and maturities of the Company's debt forecast, we recognize that it is possible the Company may ultimately decide to issue these securities with shorter maturities, such as 10-year debt, which almost always has a lower

associated cost. Nevertheless, it is solely with the Company's use of forecasted cost rates that we take issue.

Q. Please describe how Con Edison forecasted the cost rates for its future issuances.

A. Con Edison forecasted the cost rates of its future debt issuances based on guidance from knowledgeable underwriters with respect to required spreads to Treasuries expected on these future issuances. The Company also used estimates of future benchmark Treasury interest yields over the next two years, which their obtained from *Blue Chip Financial Forecasts*. The current required spread estimates were added to the forecasted benchmark Treasury yields to arrive at the cost rates for the new issuances.

Q. What is the current spread requirement reflected in the Company's forecasted cost rates for its proposed new debt?

A. The Company's forecast assumes a spread estimate of **BEGIN CONFIDENTIAL INFORMATION <** [redacted] **> END CONFIDENTIAL INFORMATION** percent for the new 30-year long-term debt issuances based upon estimates that it obtained from financial

institutions in advance of the Company's initial filing.

Q. Does the Panel agree with the Company's spread estimate of **BEGIN CONFIDENTIAL INFORMATION** <[redacted]> **END CONFIDENTIAL INFORMATION** percent?

A. Upon review of the spread estimates that the Company received from underwriters, which are provided in the Company's response to DPS471, we determined that a spread estimate of **BEGIN CONFIDENTIAL INFORMATION** <[redacted]> **END CONFIDENTIAL INFORMATION** percent is a reasonable estimate for use in the forecast of the Company's new 30-year debt issuances during the Linking Period and Rate Year. This is because the average underwriter spread estimate provided by the financial institutions in the Company's response is **BEGIN CONFIDENTIAL INFORMATION** <[redacted]> **END CONFIDENTIAL INFORMATION** percent.

Q. Please explain how the Company projected the cost rates associated with its new long-term debt issuances forecasted during the Linking Period and the Rate Year.

A. The Company projected a cost rate of **BEGIN CONFIDENTIAL INFORMATION** <[redacted]> **END CONFIDENTIAL**

INFORMATION percent for its long-term debt issuances forecasted during the remainder of the Linking Period, based upon the assumption that the yield on the 30-year Treasury would be approximately **BEGIN CONFIDENTIAL INFORMATION** <[redacted]> **END CONFIDENTIAL INFORMATION** percent during 2025. Likewise, the Company projected a cost rate of **BEGIN CONFIDENTIAL INFORMATION** <[redacted]> **END CONFIDENTIAL INFORMATION** percent for its long-term debt issuances forecasted during the Rate Year, based upon the assumption that the yield on the 30-year Treasury would be approximately **BEGIN CONFIDENTIAL INFORMATION** <[redacted]> **END CONFIDENTIAL INFORMATION** percent during 2026.

Q. Please explain how the Panel adjusted the cost rates associated with the new long-term debt issuances projected during the Linking Period and the Rate Year.

A. Our cost of debt calculation assumes that the 30-year Treasury yield will approximate its recent level through the end of the Rate Year. Therefore, we used the average yield for the 30-year Treasury during the month of April 2025,

which was 4.71 percent, and added the underwriters' estimated spread requirement of **BEGIN CONFIDENTIAL INFORMATION** <[redacted]> **END CONFIDENTIAL INFORMATION** percent to arrive at an estimate of **BEGIN CONFIDENTIAL** <[redacted]> **END CONFIDENTIAL INFORMATION** percent for the projected long-term debt issuances throughout the Linking Period and the Rate Year. As a result, we estimate the Company's Rate Year cost of long-term debt will be 4.79 percent overall. Our overall cost of debt calculation is illustrated in Exhibit__(SFP-8).

Q. Why does the Panel recommend using the most recent actual Treasury yields in calculating the cost rates for the projected new issuances?

A. The reason we recommend the use of current actual Treasury yields is because movements in long-term interest rates are difficult to forecast. Such forecasts are not only poor predictors of the magnitude of the expected change in interest rates, but they are also not reliable with respect to the direction of the change. Instead, the best estimate of future long-term interest rates is a no-change

forecast, in other words, the current rates of these debt instruments. For this reason, we recommend that current Treasury yields be employed, rather than future estimated yields, which are used by the Company.

Q. Does the Panel have any evidence supporting its use of current actual Treasury yields?

A. Yes. This is discussed in multiple studies, of which we present four. We will discuss each in turn.

Q. What is the first study the Panel presents?

A. The first study we mention is entitled, "On Forecasting Long-Term Interest Rates: Is the Success of the No-Change Prediction Surprising?" by Dr. James E. Pesando, in the Journal of Finance, September 1980, included as Exhibit__(SFP-9). In this study, James Pesando concludes that "short-run movements in long-term interest rates, quite simply, are not likely to be forecastable."

Q. What is the second study the Panel presents?

A. The second study is entitled, "Just How Bad are Economists at Predicting Interest Rates? (And What are the Implications for Investors?)" by

Kevin Stephenson, in the Journal of Investing, Summer 1997, included as Exhibit__(SFP—10). Stephenson evaluates economists' predictions of Treasury rates six months in advance during the study period of 1982 to 1996. He found that the rate of return on the three-month Treasury Bill moved in the opposite direction relative to the consensus forecast 53 percent of the time, and that the rate of return on the 30-year Treasury Bond moved in the opposite direction relative to the consensus forecast 67 percent of the time.

Q. What is the third study the Panel presents?

A. The third study is entitled, "Professional Forecasts of Interest Rates and Exchange Rates: Evidence from the Wall Street Journal's Panel of Economists" by Karlyn Mitchell and Douglas K. Pearce in the Journal of Macroeconomics, December 2007, included as Exhibit__(SFP-11). This study evaluates six-month forecasts of Treasury securities, as well as the Yen-Dollar exchange rate published in the Wall Street Journal, and finds that the forecast accuracy of most economists is indistinguishable from a no-change/"random-walk" prediction for the Treasury

Bill. The study also finds that the forecast accuracy of most economists is significantly worse than a no-change/"random-walk" prediction for the Treasury Bond.

Q. What is the fourth study the Panel presents?

A. The fourth and final study is entitled "Predicting Interest Rates: A Comparison of Professional and Market-Based Forecasts" by Michael T. Belongia, published by the Federal Reserve Bank of St. Louis in March 1987, and included as Exhibit__(SFP-12). This article arrives at a similar conclusion as the others, that it is difficult to reliably forecast future interest rates. Furthermore, the author presents a theoretical understanding as to why interest rates are so difficult to predict. Belongia concludes that forecasting interest rates is difficult because it entails predicting both the nature and timing of new information, and how the market will react to information once it is released.

Q. Given this research, which illustrates the difficulty in accurately forecasting future interest rates, how does the Panel recommend Con

Edison's cost of debt be estimated for the Rate Year?

A. As we mentioned earlier, the best estimate of future long-term interest rates is a no-change forecast; in other words, the best estimate is the current yields of these debt instruments. This is consistent with the findings of the research we cited.

Q. Company witness Saegusa claims in her direct testimony that these papers are not relevant. How does the Panel respond to this claim?

A. We have briefly explained the findings of these papers above, and we included them as exhibits. They very clearly tend to the topic of accurately forecasting interest rates. Therefore, while reasonable readers of these papers can disagree about the veracity or timeliness of their conclusions, Company witness Saegusa's claim that they are not relevant to the subject at hand would appear unsupported.

Q. Company witness Saegusa also claims "the collected analyses all predate the 2008 financial crisis and ignore subsequent improvements in forecasting accuracy that have

occurred since that time." What is the Panel's position on this statement?

A. We believe that contemporary evidence exists indicating that accurately forecasting interest rates remains an elusive goal with which economists continue to struggle. A Wall Street Journal article, entitled "Economists Got the Decade All Wrong. They're Trying to Figure Out Why" by Greg Ip, included as Exhibit__(SFP-13), and published in December of 2019, acknowledges that economists were consistently wrong in their interest rate forecasts in the post-financial crisis environment. Economists repeatedly forecasted increases in interest rates throughout the period, but interest rates actually remained in a low range for more than 10 years. As the article mentions, a number of theories were postulated to try and explain why interest rates remained lower than forecast, including a "debt hangover" from the time of the financial crisis, "secular stagnation", which is tied to slower population growth, and a lower natural rate of unemployment than previously suspected. Whatever the explanation, this

article reinforces the fact that forecasting interest rates, particularly in the medium and long term, remains inexact at best.

Q. In support of her claim that interest rate forecast accuracy has improved since 2008, Company witness Saegusa cites an article entitled "Interest Rate Forecasts in Conventional and Unconventional Monetary Policy Periods", by Nelson Oliver and Mehmet Pasaogullari, published in May 2015 by the Federal Reserve Bank of Cleveland. This article was included with her testimony as Exhibit__(YS-18). How does the Panel respond to this article?

A. After reading the article, we believe that Company witness Saegusa misunderstood its findings.

Q. Please explain.

A. The authors of this article considered the forecasts published by *Blue Chip Financial Forecasts* for seven different interest rates: the federal funds rates and the nominal yields of Treasury securities at six different maturities, ranging between three months and 10

years. The authors looked at these forecasts at two horizons: one quarter and four quarters out. Although they found that forecast accuracy improved beginning in the first quarter 2009, they noted that, "the improvement narrowed at longer horizons." In particular, "Forecast accuracy of the medium term yields (5-year) was similar in both policy periods, while the accuracy of the long-term yield (10-year) was slightly worse in the unconventional period."

Q. What does the phrase "unconventional policy period" refer to in this article?

A. It refers to the period from the first quarter of 2009 to the fourth quarter of 2014. This contrasts with the "conventional policy period", which spans the first quarter of 1990 to the fourth quarter of 2008. In this context, "policy" refers to the Federal Reserve's monetary policies before and after the financial crash of 2008. In essence, the authors of this article found that forecast accuracy for the five-year Treasury stayed the same after the financial crash. For the 10-year Treasury, they found that forecast accuracy actually worsened

after the financial crash.

Q. What is the significance of this finding for the Company?

A. When Con Edison issues long-term debt, it usually does so with a 30-year maturity, often supplemented by debt with a 10-year or 40-year maturity. It has rarely issued long-term-debt with a five-year maturity or shorter. Therefore, this article would seem to indicate that, for the maturities that Con Edison prefers, the accuracy of interest rate forecasts published by *Blue Chip Financial Forecasts* has actually declined after the 2008 financial crash.

Q. Does the Panel have any other comments regarding this article?

A. Yes. It should be noted that the authors evaluated the accuracy of *Blue Chip Financial Forecasts* over time. They did not compare the accuracy of *Blue Chip Financial Forecasts* to a no-change or "random-walk" forecast. Therefore, even if this article showed that the accuracy of 10-year Treasury forecasts had improved, it would not imply that these forecasts are

superior to the no-change forecast that we recommend the Commission use.

Q. What does the Panel conclude from this academic research about interest rate forecast accuracy?

A. It should be noted that the topic of accurate interest rate forecasts has been revisited several times in decades past. In each instance, those studies have reached the same conclusion: That professional interest rate forecasts are no more accurate, and often are substantially less accurate, than a no-change forecast. In his 1987 article for the Federal Reserve Bank of St. Louis, included as Exhibit__(SFP-12), Michael T. Belongia, notes that, "as the length of the forecast horizon grows shorter, the probability of large changes in information (and interest rates) declines as well." The inverse also holds true: As the forecast horizon extends further into the future, the potential for large changes of information also grows, making longer-term forecasts less reliable than nearer-term ones.

Q. Has the Commission addressed the issue of the forecasted interest rates when setting the cost

of long-term debt?

A. Yes. The Commission addressed this in Cases 23-E-0418 and 23-G-0419, concerning Central Hudson. Page 71 of its Order Establishing Rates for Electric and Gas Service, issued July 18, 2024, states, "the Commission's preference has been to rely on actual Treasury yields to calculate the cost rates for projected new issuances, not forecasted rates."

Q. How should the cost of long-term debt estimate be updated at the time of the Commission's rate order in these proceedings?

A. The 30-year long-term debt issuances projected during the Rate Year should be updated to reflect the latest-known, actual 30-year Treasury rate at the time of the Commission decision, plus **BEGIN CONFIDENTIAL INFORMATION** < [redacted] > **END CONFIDENTIAL INFORMATION** percent to reflect the underwriter's required spread estimate. In addition, the actual amount and cost rate of any long-term debt issuances during the Linking Period should be reflected in the Company's actual cost of debt upon update. Finally, if the Commission prefers a more recent

estimate of the underwriters' estimated spread requirement to more reliably estimate the cost rates of the projected Rate Year issuances, we recommend that the Company be directed to provide that estimate, which would be added to the rate of the latest-known yield of the 30-year Treasury, accordingly.

Q. On page 124 of its Accounting Panel testimony, the Company proposes that a true-up continue to be applied to the interest costs associated with Con Edison's variable rate debt. Does the Panel agree with this proposal?

A. Yes. As we have done in the past, we continue to recommend that a true-up be applied to the variable rate debt securities and their associated credit support costs.

Q. Please explain the Panel's rationale for the true-up of the variable rate securities.

A. A true-up is appropriate because the cost rates associated with Con Edison's variable rate debt securities are largely determined by market forces beyond the Company's control.

Q. The Company also proposes that a true-up be applied to the interest costs associated with

Con Edison's fixed rate debt. Does the Panel agree with this proposal?

A. No, we do not. At present, we do not see the need for a fixed-rate debt true-up.

Q. How does the Company justify its proposal to for a fixed-rate debt true-up?

A. On page 13 of her testimony, Company witness Saegusa argues that the interest rate environment has been volatile since 2020, as evidenced by the yields on U.S. Treasuries. Then, on page 14, Company witness Saegusa notes that a true-up for fixed-rate debt is incorporated into the current rate plans for New York State Electric and Gas Corp., referred to as NYSEG, and for Rochester Gas and Electric Corp., referred to as RG&E, in cases 22-E-0317, 22-G-0318, 22-E-0319, and 22-G-0320.

Q. How does the Panel respond to Company witness Saegusa's argument that the interest rate environment has been volatile?

A. We acknowledge the volatility unleashed during the COVID-19 pandemic. However, now that the COVID-19 pandemic has run its course, it would be speculative to continue to assume that

interest rate volatility will persist. Thus, we do not think that a true-up for fixed-rate debt is currently necessary. That said, since Company witness Saegusa filed her initial testimony, there have been periods of temporarily heightened volatility in the financial markets in connection with the federal government's imposition of tariffs of foreign imports, followed by the pausing of said tariffs. It is unclear if these changes in federal trade policy will reoccur during the pendency of this case. If so, then our recommendation may need to be revisited. As stated earlier in our testimony, we recommend updating the cost of debt at the time of the Commission decision. The matter of a true-up for fixed-interest rate debt can be revisited at that time as well.

Q. Is there a measure of volatility that the Panel considered?

A. Yes. We considered the Chicago Board Options Exchange Volatility Index, referred to as the VIX, which is a measure volatility in the S&P 500. Although this measures volatility in the

equity markets, rather than with interest rates, the measure is nevertheless instructive. Historically, the VIX has averaged around 20.31 since inception. As shown in Exhibit_(SFP-14), the VIX averaged around 36.92 as of April 2025, indicating higher volatility than normal. However, equity markets are nowhere near as volatile as they were at the onset of the COVID-19 pandemic or during the 2008 financial crisis. The VIX was as high as 85.47 in March 2020; and it reached a peak of 89.53 in October 2008. Thus, while measured volatility in the equity market is currently higher than average, it is not extraordinary compared to historical periods. Equity markets are nowhere near as volatile as they were at the onset of the COVID-19 pandemic or during the 2008 financial crisis.

Q. How does the Panel respond to Company witness Saegusa's argument that a true-up for fixed rate debt was authorized for NYSEG and RG&E?

A. The fixed-rate debt true-up for NYSEG and RG&E was a result of a joint proposal, and its inclusion was in consideration of all the other terms of that joint proposal. We note that the

terms of joint proposals are not "precedent", and that the 2023 Rate Order for Con Edison adopted a joint proposal that did not include a fixed-rate debt true-up, even though it was negotiated at a similar time.

SUMMARY OF ROE RECOMMENDATION

Q. What methodology did the Panel use to determine its recommended 9.30 percent ROE?

A. We estimated the cost of equity for a proxy group of electric holding companies, using a DCF analysis, weighted two-thirds, and the average of two CAPM analyses, weighted one-third. We will demonstrate the strengths and reasonableness of our two-stage DCF methodology in testimony. We will also show that our forward-looking application of the CAPM continues to produce a reasonable check on our DCF methodology and, as such, should continue to be accorded a one-third weighting.

Q. Please explain why the Panel specifically recommends that the DCF methodology be given a two-thirds weighting and the CAPM result a one-third weighting.

A. For more than the past 30 years, the DCF has

been the principal equity costing methodology in New York. In fact, since 1994, the Commission has consistently issued cost of equity determinations with the same two-thirds DCF and one-third CAPM weightings. During this time, Staff testimony addressing ROE has repeatedly noted the reasons why the DCF has been, and should continue to be, the preferred methodology.

Q. Please explain why the Commission and Staff have consistently given the DCF a two-thirds weighting.

A. Among the reasons is that the DCF has proven to be less volatile over time and that it is more widely used throughout the country in utility rate case settings. Estimating the cost of equity requires using methodologies that are imperfect. Of all the approaches available, however, the DCF and the CAPM are, by far, the least flawed, and between the two, the DCF is superior. The Commission has noted the relative strengths of the DCF methodology in previous rate orders. For example, on page 14 of the October 18, 2007, Order Setting Permanent Rates,

Reconciling Overpayments During Temporary Rate Period, And Establishing Disposition of Property Tax Refunds, issued in Case 06-E-1433, the Commission stated that the two-stage DCF "method offers the significant benefit of reliance on readily available, objective data to measure an indicator of real importance to investors."

USE OF PROXY GROUP

Q. Why is a proxy group used to estimate Con Edison's cost of equity?

A. The use of a proxy group to determine the cost of equity is necessary for several reasons. First, a DCF analysis for individual companies relies on equity analysts' estimates of growth. Those estimates, by their nature, could be biased or potentially inaccurate. Second, beta determinations used in the CAPM methodology are based on historical observations that, due to circumstances such as corporate restructurings or industry transformations, may not be representative of the level of earnings volatility expected in the future. However, by employing a sufficiently large proxy group of similarly situated

companies in our analyses, we can minimize the undesirable effects of bias, both upward and downward, or inaccurate estimates for any one company.

Q. What are the most important considerations for selecting a proxy group?

A. It is first necessary to determine the specific industry classification of the subject company to identify its true peers. Second, once the appropriate group of peer companies is established, careful consideration must be given in determining the appropriate screening criteria to compile a group of companies that is both sufficiently large and of similar risk to the company in question. A careful balance must be struck between these two potentially conflicting goals. Although the objective is to select a group of companies with risk profiles that closely match the subject company's risk profile, it is also important that the proxy group be large enough to provide sufficient confidence in the results. The greater the number of suitable companies that can be found, the less sensitive the overall cost of equity

estimate will be to fluctuations or irregularities in the data related to any one company.

Q. Please describe how the Panel selected its proxy group.

A. We selected a group of 28 utility holding companies from a universe of 36 holding companies with publicly traded stock, all of which are classified by Value Line as electric utilities. Due to its robust size, we are confident that our proxy group will produce reliable estimates of the Company's cost of equity. We carefully selected companies with risk profiles similar to Con Edison's. Page 1 of Exhibit__(SFP-15) shows the list of companies that we used for our proxy group, including the current credit ratings by S&P and Moody's for each company, accompanied by the percentage of revenues derived from regulated activities for each company during the 12-month period ended December 31, 2024. On page 2 of Exhibit__(SFP-15), we portray the same statistics for the Value Line electric universe. We have also included the Value Line gas

universe for reference purposes because Company witness Nowak uses gas companies in his proxy group. We will discuss Company witness Nowak's use of gas companies later in our testimony.

Q. What screening criteria did the Panel apply to its proxy group?

A. Beginning with the 36 publicly traded holding companies that Value Line categorizes as electric utilities, we carefully selected companies that face risks similar to Con Edison. To generally match the risk profile of Con Edison, we applied the following four selection criteria: (1) the company must currently maintain an investment grade credit rating from Moody's and S&P; (2) its regulated utility revenues must be at least 70 percent of its total revenues, as determined by each company's most recent 10-K filed with the SEC; (3) the company must currently pay dividends; and, (4) the company must not be engaged in any substantial acquisitions, mergers, or other transformational activities.

Q. Why did the Panel limit its proxy group to those companies that have an investment grade credit

rating?

A. A credit rating represents the creditworthiness of a company and the risk that it may not be able to repay its loans. Con Edison holds an investment grade credit rating by both S&P and Moody's. Specifically, the Company is rated "A-" by S&P and "A3" by Moody's. Ultimately, both fixed income and equity investors seek to measure the level of risk associated with the companies they invest in, which is summarized by a credit rating. By selecting a company with a comparable credit rating, we can more closely estimate a fair and reasonable cost of capital that is appropriate relative to its credit risks.

Q. Why did the Panel limit its proxy group to companies that derive at least 70 percent of their total revenues from regulated operations?

A. Con Edison is a transmission and distribution utility company that derives all of its revenues from regulated utility operations. To ensure greater comparability with the Company, we do not consider companies that derive a significant portion of total revenues from non-utility

businesses because these activities generally have materially higher business risk than a utility operating company. Ideally, the proxy group would consist entirely of utility operating companies like Con Edison. However, this is not a reasonable expectation because utility companies have generally diversified into competitive businesses over time. Therefore, we determined that a 70 percent threshold achieves a reasonable balance that enables us to select a proxy group that is large enough to provide a valid comparison to Con Edison while excluding companies that would distort the group's risk profile. Thus, a more relaxed criterion could result in a proxy group of companies that would be too diversified to serve as a useful surrogate for a utility operating company such as Con Edison.

Q. Why does the Panel exclude companies that are currently not paying dividends?

A. A company's current stock price and recent dividends are two of the core components necessary to evaluate the present value of a company's estimated return on equity in the DCF

model. Without these key elements, estimating the ROE with the DCF model would not be feasible.

Q. Why does the Panel exclude companies that are currently parties to a substantial merger or acquisition-related activity?

A. Transformational financial transactions, such as large mergers and acquisitions, can distort the common stock prices of the companies involved, thereby undermining the reliability of the cost of equity estimates. For example, recently completed mergers can lead to a new entity that does not have a sufficient beta or dividend history. Moreover, analysts may not have assessed or incorporated the full impact of the merger on future dividends and earnings.

Q. Please summarize which companies the Panel eliminated from its proxy group and the reasons why.

A. First, we eliminated Fortis, Inc. because it reports its financial results in a foreign currency, which would introduce foreign exchange-rate risk into our proxy group. Next, we eliminated Exelon Corp. because it lacks a

beta from Value Line. We then eliminated three companies because they do not derive at least 70 percent of their total revenues from regulated operations: DTE Energy Company, NextEra Energy, Inc., and Otter Tail Corp. We then eliminated two companies due to lack of investment-grade credit ratings: Hawaiian Electric Industries, Inc. and PG&E Corp. Lastly, we eliminated Allete, Inc. due to merger and acquisition activity.

Q. Did the Panel include any companies in its proxy group that did not meet all of its screening criteria?

A. Yes, we included MGE Energy, Inc., referred to as MGE, in our proxy group, despite not having an S&P or a Moody's credit rating. However, its principal operating subsidiary, Madison Gas and Electric Company, has a credit rating of "A1" by Moody's and "AA-" by S&P, and it accounts for 99.9 percent of MGE's operating revenue. Given these facts, we are confident that MGE would also be assigned an investment-grade rating if it were to be rated by S&P and Moody's.

Q. One of the companies in the Panel's proxy group

is TXNM Energy, Inc., referred to as TXNM, which recently that it was being acquired by Blackstone, Inc. Why did the Panel opt to retain TXNM in its proxy group under these circumstances?

A. We calculated our ROE recommendation on April 30, 2025, using data that was current as of that date. However, Blackstone's acquisition of TXNM was not announced until May 19, 2025. Therefore, TXNM met all of our selection criteria at the time of our analysis.

Q. What are the results based on your selection criteria?

A. In total, we excluded eight of the 36 electric utility companies covered by Value Line. The remaining 28 electric utilities that comprise our proxy group are illustrated on page 1 of Exhibit__(SFP-15).

Q. Why is the Panel's proxy group appropriate for determining Con Edison's cost of equity?

A. Our proxy group is appropriate for determining Con Edison's cost of equity because all parent holding companies in it serve retail customers, have investment grade senior unsecured debt

ratings, receive a minimum of 70 percent of total revenues from regulated operations, and are not involved in any transformational proceedings, such as mergers or acquisitions. This is consistent with the Staff testimony in all recent Con Edison electric, gas, and steam rate cases, as well as all recent Orange and Rockland electric and gas rate cases. It is also consistent with recommendations by Staff witnesses in other rate proceedings involving combination electric and gas utilities, such as Cases 24-E-0461 and 24-G-0462, Central Hudson; Cases 24-E-0322 and 24-G-0323, Niagara Mohawk Power Corporation, d/b/a National Grid, referred to as NMPC; Cases 22-E-0317 and 22-G-0318, NYSEG; and Cases 22-E-0319 and 22-G-0320, RG&E.

Q. Has the Commission employed Staff's proxy group in its cost of equity determination in previous rate orders?

A. Yes. In fact, in all of the fully litigated rate cases involving Con Edison and Orange and Rockland since 2006, including Cases 08-E-0539, 07-E-0523, and 06-E-1433, the Commission found the composition of Staff's proxy group to be

superior to the Company's and employed Staff's proxy group to derive its ROE determinations. Specifically, in the rate order in Case 06-E-1433, Orange and Rockland, the Commission stated, "We also find the proxy group employed by Staff in its DCF calculation superior to the Company's proxy group. Staff carefully explains and supports its selection of comparable companies to make up the proxy group of companies used in the DCF analysis."

Q. Please summarize the characteristics of the Panel's proxy group companies with respect to their average credit ratings and percentage of regulated revenues.

A. The companies in our proxy group have an average S&P credit rating of "BBB+" and an average Moody's credit rating of "Baa2." On average, the companies in our proxy group receive 95.39 percent of their revenues from regulated utility operations, which is illustrated on page 1 of Exhibit__(SFP-15).

DISCOUNTED CASH FLOW METHODOLOGY

Q. Please explain the basic theory underlying the DCF methodology.

A. The DCF methodology can be applied to any investment instrument that has an intrinsic value. The DCF approach, as it relates to common stock, recognizes that companies create value for their stockholders by using their earnings in a number of ways, the most important of which, by far is through the payment of cash dividends to shareholders. Alternatively, earnings that are retained by companies can be used to create value in other ways. First, a company can invest in capital projects designed to increase future profits; second, a company can retire debt, which reduces interest expense; and third, a company can buy back some of its common stock, which increases future earnings on a per-share basis.

Q. Please describe the relationship between the value of a company's common stock and that of its future dividends.

A. While earnings drive companies' dividend payout policies, the value of the companies' common stock is equal to the present value of all future dividends. This is because the earnings retained will only have value to the stockholder

when they are paid as dividends in the future. Underlying this principle is the strong assumption in capital market theory that companies earn the same return on retained earnings as the market demands on their common stock. Also fundamental to the DCF methodology is the sentiment that cash and/or earnings held in the future do not hold the same worth as cash or earnings held in the present. Due to the time preference of people to spend their cash today, rather than waiting for the effects of inflation and productivity to impact future cash flows, the DCF discounts the future expected cash flows according to investors' return requirements.

Q. Please describe the Panel's DCF methodology and its result.

A. Our DCF model is a two-stage dividend discount model, which is consistent with the financial theory that the value of a company's stock is equivalent to its future cash flows. Our dividend discount model forecasts those cash flows into the future and discounts them back to their present value. This model embodies less

restrictive assumptions than the traditional constant growth, or single-stage, DCF methodology. Our multi-stage DCF model is preferred because it also explicitly recognizes that a company's short-term growth expectations do not necessarily equal long-term expectations. The first stage uses analysts' near-term estimates to derive the short-term growth rate, while the second stage is based on the calculation of a sustainable growth rate. Our DCF calculation for the proxy group is shown on Exhibit__(SFP-16), pages 1 and 2.

Q. How did the Panel calculate the stock prices used in its DCF model?

A. We used the average of the high and low stock prices for each company in the proxy group for each month during the three-month period ended April 2025.

Q. What methodology did the Panel use to project dividends in your DCF model?

A. Our analysis maintains the same approach that Staff has relied on for many years. In the first stage of our DCF model, for the years 2025 through 2029, we rely on Value Line's forecasted

dividends for each company in the proxy group. In the second stage, for the years 2030 and beyond, we calculated a sustainable growth rate for each company within the proxy group. This long-term growth rate is primarily based on each company's expected earned return on average common equity and its projected retention of earnings. Our sustainable growth rate also incorporates growth resulting from an increase in common share balances over time. We believe that using analyst forecasts for dividend growth in the near term is reasonable, but analysts generally do not publish dividend forecasts for longer than a few years into the future. It is essentially impossible to employ dividend growth forecasts for the long-term without relying on an unreasonable assumption that near-term estimates of growth will continue indefinitely into the future. Therefore, we instead calculate a sustainable growth rate for the long-term. The cost of equity is then calculated by solving for the discount rate necessary to set the net present value of the

200-year dividend stream for each company equal to its current stock price.

Q. Please explain what the Panel means by the sustainable growth rate.

A. The sustainable growth rate is commonly viewed as the maximum growth rate an enterprise can achieve while maintaining a constant debt-to-equity ratio, i.e., without having to increase its financial leverage.

Q. What is the sustainable growth rate of the Panel's proxy group?

A. The average sustainable growth rate of our proxy group is 4.90 percent. This is illustrated in Exhibit__(SFP-16), page 2.

Q. Did the Panel check the reasonableness of its proxy group's sustainable growth rate with any macroeconomic indicators?

A. Yes. We compared our 4.90 percent sustainable growth rate result of our proxy group with the most recent long-range consensus growth rate estimate of the nominal Gross Domestic Product, referred to as GDP. As published in the *Blue Chip Economic Indicators* report dated March 10, 2025, the consensus long-range estimate for

nominal GDP growth is 4.2 percent for the 2027 to 2031 time period and 4.1 percent for the more distant 2032 to 2036 time period. Thus, our proxy group's 4.90 percent sustainable growth rate is comparable to the consensus estimated growth rate for the overall economy. In fact, this sustainable growth rate is slightly optimistic on utility growth prospects, considering one could reasonably expect a mature industry, such as the utility sector, will grow at a slower rate than the overall economy.

Q. Please explain the nominal GDP growth rate estimate.

A. The nominal GDP growth rate estimate comprises two components: real GDP growth and rate of inflation. The long-run projections generally show the annual real GDP decreasing from a rate of 2.0 percent in 2027 to a rate of 1.9 percent in 2030, while inflation is forecasted to decline from 2.3 percent in 2026 to 2.2 percent in 2031 and beyond.

Q. Why is a comparison to nominal GDP appropriate?

A. The nominal GDP rate reflects assumptions about

future inflation, in addition to the real growth expected in the economy because of productivity gains. Therefore, it is reasonable for investors in the market as a whole to expect future dividends to generally keep pace with overall inflation, as well as to reflect productivity gains similar to those expected for the economy as a whole. Likewise, for investors in a mature sector of the economy, such as the utility industry, with slower-than-average growth prospects, it is reasonable, even optimistic to expect future dividend growth to be roughly equivalent to that of the overall economy. However, we emphasize that we do not advocate utilizing a comparison to historical growth rates because historical periods are not necessarily representative of future results.

Q. Are there any other sources of GDP growth that the Panel used as a check on the reasonableness of its 4.90 percent sustainable growth rate?

A. Yes. A report from the United States Congressional Budget Office, referred to as CBO, projects nominal GDP through 2035. As shown on page 5 of this report, entitled "The Budget and

Economic Outlook: 2025 to 2035" and included as Exhibit__(SFP-17), CBO estimates that nominal GDP will grow 3.8 percent annually from 2027 through 2034. These estimates are lower than the 4.90 percent average sustainable growth rate for the companies in our proxy group.

Q. What cost of equity does the Panel's DCF methodology produce for the proxy group?

A. The mean DCF ROE result for the proxy group is 8.65 percent, as shown on Exhibit___(SFP-16), page 2.

Q. Please explain why the Panel recommends using the average DCF result, rather than any of the individual company results, within the proxy group.

A. Although the range of individual company results largely appear reasonable, we do not recommend a cost of equity analysis based on any one of the individual results due to the potential for biased or inaccurate earnings estimates influencing the results. Even in the relatively stable utility industry, earnings forecasts can be very difficult to predict. For example, in the early part of the 2000s,

many earnings forecasts turned out to be inaccurate because of difficulties forecasting the course of deregulation and the extent of competition. Therefore, one of the principal reasons that our methodology employs a robustly sized proxy group is because it largely mitigates the impact of individual results.

CAPITAL ASSET PRICING MODEL METHODOLOGY

Q. Please describe the basic theory underlying the CAPM.

A. The principle behind the CAPM theory is that there is no premium, in terms of expected return, for bearing risks that can be eliminated through diversification. According to the CAPM, rational investors will hold a portfolio of stocks, such that the overall risk of that portfolio, in terms of the variability of its returns, closely approximates that of the market as a whole. Thus, the only risk that matters in the CAPM equation is systematic risk, or risk that cannot be diversified away.

Q. Please explain systematic risk.

A. Systematic risk is a risk common to all equity

securities that cannot be eliminated through diversification. It is measured by a variable denominated as beta. Systematic risk is also known as market risk, which is the uncertainty inherent in the entire market or market segment. Changes in interest rates, recessions, wars, and pandemics are all examples of systematic risks.

Q. What is unsystematic risk?

A. Unsystematic risk is the risk that is specific to a particular stock. While it is assumed that most stocks tend to go along with the general market, at least to some extent, factors specific to an individual stock are said to affect its unsystematic risk.

Q. How does the CAPM measure an individual stock's risk?

A. According to the CAPM, the appropriate way to measure an individual stock's risk is through a correlation of its return relative to the market as a whole, known as beta. A stock with a beta of 1.0 has a return that mirrors the return of the market, usually taken to mean the S&P 500, as a whole. Betas of less than 1.0 indicate that the stocks are less volatile than the

market, as a whole. Utility stocks, given the moderating influence of regulation and the accompanying perception of reduced risk, typically have betas below 1.0. Therefore, the CAPM informs us that investors will only be compensated for their actual risk, as measured by beta. In the case of estimating the return requirements of utility investors, the CAPM result will reflect the degree to which utility stocks are less volatile than the market, as a whole.

Q. On what assumptions is the CAPM based?

A. The model is based on the assumptions that: (1) the capital market is competitive and efficient; (2) investors are risk-averse and demand higher returns for higher risk; (3) market participants can lend and borrow unlimited amounts at the risk-free rate of return; and (4) investors hold diversified portfolios and operate in capital markets with no transaction costs, taxes, or restrictions on financial transactions. Under the CAPM, the expected return of a security or a portfolio is equal to the rate on a risk-free security plus a risk

premium multiplied by the asset's systematic risk.

Q. Please describe the methodology the Panel used to determine its CAPM results.

A. Consistent with Staff's approach that the Commission has adopted for many years, we averaged the results of two forms of the CAPM: the Traditional CAPM and the Zero Beta CAPM.

Q. Why does the Panel use two forms of the CAPM?

A. Research has indicated that the Traditional CAPM model may underestimate the required return when betas are below 1.0. Therefore, in an effort to avoid an underestimated return, we use a Zero Beta methodology as well. We average in the result of the Zero Beta approach to limit the impact of the beta used, which addresses and corrects for this tendency of the Traditional CAPM, and ultimately enhances the accuracy of our overall CAPM ROE determination.

Q. Please provide an example of when the Commission has adopted Staff's recommended approach of averaging the Traditional CAPM and the Zero Beta CAPM.

A. The Commission addressed this in Case 16-G-0257,

concerning NFGD. In its Order Establishing Rates for Gas Service, issued April 20, 2017, the Commission noted that it has repeatedly affirmed certain key elements of the methodology we use to determine the appropriate ROE, and that among these are the basing of CAPM results on an average of the outcome from Traditional and Zero Beta models.

Q. Please describe the calculation used in the Traditional CAPM.

A. The Traditional CAPM method calculates a required return based on three inputs: the rate of return on a risk-free rate investment, referred to as R_f; the level of systematic risk for an investment, referred to as β or beta; and the expected market risk premium, referred to as MRP. Typically, the MRP is calculated by subtracting the risk-free rate from the expected market return, referred to as R_m. The form that the Traditional CAPM takes is as follows: Required Return = $R_f + \beta * (R_m - R_f)$.

Q. Please describe the calculation used in the Zero Beta CAPM method.

A. We used the same inputs as in the Traditional

CAPM methodology. However, instead of multiplying beta by the MRP, as in the the Traditional CAPM methodology, we determined the MRP for the proxy group by multiplying 0.75 by beta by the MRP and adding 0.25 times the MRP. This can be expressed as: Required Return = R_f + [0.75 * β * (R_m - R_f)] + [0.25 * (R_m - R_f)].

Q. How did the Panel calculate the risk-free rate used in its analysis?

A. The risk-free rate was estimated by averaging the 10-year and 30-year Treasury bond yields for the recent three-month period of February 2025 through April 2025. The result for the three-month period ended April 2025 is 4.50 percent.

Q. Why is the Panel using a three-month average of the Treasury yields for its risk-free rate calculation?

A. We employ the three-month timeframe in our CAPM analysis to be consistent with the three-month timeframe we use to calculate stock prices in our DCF analysis, along with the quarterly publication of new Value Line data.

Q. Why does the Panel use both the 10-year and the

30-year Treasury bond yields to estimate its risk-free rate?

A. We employ the average of the 10-year and 30-year Treasury yields because utility investors generally have both intermediate and long-term investment horizons. To account for these two investment horizons, we use both the 10-year and 30-year Treasury securities to calculate our result. In the past, the Commission has consistently adopted this approach. For instance, in the Rate Order issued June 17, 2011, in Case 10-E-0362 regarding Orange and Rockland, the Commission stated its preference for this approach. The Commission noted on page 75 of that order that "using a combination of treasury yields is consistent with our practice and supported by the varying nature of investor holding periods."

Q. How did the Panel determine the beta for its CAPM analyses?

A. We calculated the mean, or average, beta reported by Value Line for each of the 28 companies in our proxy group. The mean beta of the proxy group is 0.89.

Q. How does Value Line calculate beta?

A. Value Line derives its beta from a regression analysis of the relationship between weekly percentage changes in the price of a stock and weekly percentage changes in the New York Stock Exchange Index over a period of five years. Value Line also adjusts betas to reflect the long-term tendency for betas to converge towards 1.0.

Q. How did the Panel determine the appropriate cost of market return to use in its CAPM analyses, and what were the results?

A. As we previously explained, the MRP is best expressed as the difference between the expected cost of market return and the return required on a risk-free investment. Because the cost of equity is, by its nature, a forward-looking concept, we employed an ex-ante or forecasted analysis, which relies on a forecasted market return for the S&P 500, as published by Bank of America Securities, referred to as BOAS, in its *Quantitative Profile* reports. Excerpts of these publications with the relevant pages are included in Exhibit__(SFP-18). The full reports

are available upon request. We derived our expected market return from the two forward-looking estimates of returns on the market: the required return and an implied return published by BOAS. Specifically, we used the monthly editions of the *Quantitative Profile* reports for February 2025, March 2025, and April 2025, averaging the required and implied market returns of each of the three point-in-time forecasts, to arrive at an appropriate market return of 11.00 percent. Given our expected market return of 11.00 percent minus our risk-free rate of 4.50 percent, the resulting MRP is 6.50 percent.

Q. Why is the Panel using an average of the most recent three months of BOAS's expected market returns in its calculation?

A. Generally speaking, we use expected market return estimates from the most recent three months to be consistent with the timeframes of the other data inputs used in our CAPM and DCF calculations. By matching the timeframe to what we use to calculate our other parameters, we minimize the inclusion of variables from

differing time frames that would be inapplicable to each other. We thereby arrive at the most appropriate estimate of the required market rate of return to use. It is also critical that the timeframes used to determine the risk-free rate of return and the market rate of return be the same to validly calculate the MRP for similar reasons.

Q. What are some of the difficulties associated with the CAPM?

A. The market rate of return includes capital gains and dividends added together. However, from time to time, the actual market return can become negative due to many factors such as recessions, war, pandemics, and/or depressed earnings. Therefore, while investors expect the market return to be positive over the long run, they also expect the market return to fluctuate in the short term, punctuated by periods of negative return. Thus, it is important that the application of an expected long-term market return consider realistic growth rates and current economic factors. These difficulties are the reason we recommend that the CAPM be

afforded less weight than the DCF.

Q. What is the Traditional CAPM result using the Panel's stated inputs?

A. We determined the Traditional CAPM result to be 10.29 percent, calculated as follows: 4.50 percent + 0.89 * (11.00 percent - 4.50 percent) = 10.29 percent.

Q. What is the Zero Beta CAPM result using the Panel's stated inputs?

A. We determined the Zero Beta CAPM result to be 10.47 percent, calculated as follows: 4.50 percent + [0.75 * 0.89 * (11.00 percent - 4.50 percent)] + [0.25 * (11.00 percent - 4.50 percent)] = 10.47 percent.

Q. Please explain how the Panel used the results of these two CAPM methods in its calculation of the ROE for the proxy group.

A. We averaged the results of the Traditional and Zero Beta CAPM calculations to arrive at our CAPM result of 10.38 percent. This is illustrated on page 3 of Exhibit__(SFP-16).

RETURN ON EQUITY CONCLUSION

Q. Please explain how the Panel determined the overall cost of equity for the proxy group.

A. We determined the proxy group's cost of equity by weighting the 8.65 percent average DCF result two-thirds and weighting the 10.38 percent average of the two CAPM results one-third. The resulting ROE is 9.23 percent, as illustrated in Exhibit___(SFP-15), page 3.

Q. Does the Panel recommend that its ROE be updated during this proceeding?

A. Yes. Should the proceeding result in a litigated outcome, we recommend that the ROE estimate be updated prior to the Commission's decision to reflect the most current financial data then available.

Q. Does the Panel recommend an adjustment to its ROE analysis?

A. Yes. We recommend increasing the ROE result by seven basis points to 9.30 percent to enable recovery of the cost of issuing new equity during the Rate Year.

Q. Please explain why this adjustment is appropriate?

A. Commission precedent is to provide for recovery of anticipated issuance expense when a public common stock offering is reasonably expected to

occur during the Rate Year.

Q. How did the Panel determine that seven basis points was the appropriate adjustment?

A. In response to DPS-473 and DPS-922 the Company indicates that CEI expects to publicly issue **BEGIN CONFIDENTIAL INFORMATION** <[redacted]> **END CONFIDENTIAL INFORMATION** of new equity in 2026, of which **BEGIN CONFIDENTIAL INFORMATION** <[redacted]> **END CONFIDENTIAL INFORMATION** is forecasted to be down streamed to Con Edison. Further, on page 69, lines 3 through 4 of his testimony, Company witness Nowak states that flotation costs for the Company have historically equaled approximately 1.78 percent of the gross equity raised. Based on these estimates, which appear reasonable, we calculate that seven basis points will be sufficient to recover the cost associated with the issuance of new equity during the Rate Year. Our calculations are included in Exhibit__(SFP-19).

Q. Does the Panel recommend any other adjustments to its ROE analysis?

A. No. Our ROE model appropriately captures current market conditions, and we are confident

in its results.

Q. Does Staff recommend any mechanisms that will provide the Company with an opportunity to earn a higher return and thus realize an even higher CFO Pre-WC/Debt ratio?

A. Yes. The testimony of the Staff Markets and Innovation Panel recommend Earnings Adjustment Mechanisms, or EAMs, and the testimony of the Staff Gas Safety Panel recommend Positive Revenue Adjustments, or PRAs. Through these policies, Con Edison has a variety of earnings opportunities, based on outcome-based performance measures that have the potential of increasing the Company's earned ROE for the electric and gas businesses above what the ultimately Commission authorizes.

COMPANY'S PROPOSED ROE APPROACH

Q. The Panel stated earlier that Con Edison's 10.00 percent requested ROE is excessive and should be rejected. Is the Company's 10.00 percent ROE request based on the recommendation of its ROE witness Nowak?

A. No. Company witness Nowak's proposal is 10.50 percent and is based on results provided by his

ROE models, which range from 10.00 percent to 11.00 percent. However, page nine, line 17, of the Company's Accounting Panel testimony states that "the Company is filing with a [lower] ROE in order to facilitate the resolution of the issues in these proceedings." In the interest of clarity, we note the Company initially requested a 10.10 percent ROE, but it reduced its request to 10.00 percent in the April 10, 2025 Preliminary Update.

Q. Please summarize the ROE approach employed by Company witness Nowak.

A. Company witness Nowak used three multi-stage DCF calculations and 24 CAPM calculations to inform his ROE proposal within the range of 10.00 percent to 11.00 percent, which the Company then used as a basis for its 10.00 percent requested ROE. Company witness Nowak presented his DCF and CAPM results weighted equally and with a two-thirds/one-third weighting. He used the results of these ROE models in conjunction with his assessment of the Company's risk profile, current market conditions, and his assessment of New York's regulatory environment, to establish

his proposed ROE range of 10.00 percent to 11.00 percent.

Q. What are the Panel's principal points of contention with Company witness Nowak's ROE analysis?

A. First, we do not agree with Company witness Nowak's method of selecting a proxy group. Second, we have concerns regarding Company witness Nowak's DCF analysis due to the use of excessive growth rates and the application of earnings growth rather than dividend growth. Third, with respect to his CAPM analyses, we are particularly concerned with Company witness Nowak's calculation of an excessively high market return estimate. Finally, we disagree with the weighting of his results.

COMPANY'S PROXY GROUP CRITERIA

Q. Please describe Company witness Nowak's proxy group.

A. Company witness Nowak's proxy group is comprised of 14 electric utilities and five natural gas utilities. Illustrated in Exhibit__(SFP-15), page 3, is the list of companies that Company witness Nowak used for his proxy group,

including the current credit ratings assigned to each company by S&P and Moody's, as well as the percentage of revenues derived from regulated activities for each company during the 12-month period ended December 31, 2024.

Q. Overall, how does Company witness Nowak's proxy group compare to the Panel's proxy group?

A. Company witness Nowak includes six companies that we excluded from our proxy group: Atmos Energy Corp.; Exelon Corp.; NiSource, Inc.; Northwest Natural Holding Co.; ONE Gas, Inc.; and Spire, Inc. Company witness Nowak also eliminates 15 companies that met our selection criteria: Alliant Energy Corp.; Ameren Corp.; CenterPoint Energy, Inc; Consolidated Edison, Inc.; Dominion Energy, Inc.; Duke Energy Corp.; Entergy Corp.; Evergy, Inc.; FirstEnergy Corp.; IDACORP, Inc.; MGE Energy, Inc.; Pinnacle West Capital Corp.; Sempra Energy; Southern Co.; and WEC Energy Group, Inc.

Q. Please explain how Company witness Nowak developed his proxy group.

A. Company witness Nowak began by selecting utilities for his proxy group from the universe

of companies that Value line classifies as electric utilities and natural gas distribution companies. From this universe, he chose 14 companies classified by Value Line as electric utilities and five companies classified by Value Line as natural gas distribution companies. Company witness Nowak then applied the following screening criteria, under which a company must: (1) be covered by at least two utility industry equity analysts; (2) have investment-grade corporate credit ratings and/or senior unsecured bond ratings according to S&P and Moody's; (3) have paid regular dividends; (4) have positive earnings growth projections from at least one source; (5) do not own generation comprising more than 60 percent of the Company's megawatt-hour, or MWh, sales to ultimate customers; (5) have no less than 70 percent of total operating income derived from regulated utility operations; and (6) is not a party to a significant merger, acquisition, or other transformational transaction.

Q. Does the Panel agree with any of the criteria Company witness Nowak's uses to derive his proxy

group?

A. Yes. We agree with Company witness Nowak's use of Value Line's universe of electric utilities; his elimination of companies involved in mergers or acquisitions; and his requirement that a company must have an investment-grade credit rating by S&P and Moody's.

Q. Does the Panel disagree with any of the criteria Company witness Nowak uses to derive his proxy group?

A. Yes. First, we disagree with how Company witness Nowak eliminates companies that own generation comprising greater than 60 percent of the Company's MWh sales to ultimate customers. Second, we disagree with how Company witness Nowak eliminates companies that derive less than 70 percent of operating income from utility operations, as opposed to our requirement that the companies have at least 70 percent of revenue from utility operations. Third, we disagree with Company witness Nowak including companies that Value Line classifies as natural gas distribution companies. As we will discuss in greater detail later, Company witness Nowak's

application of these screening criteria results in a proxy group that contains a different risk profile than Con Edison.

Q. Please explain the Panel's first concern regarding Company witness Nowak's selection criteria, pertaining to the percentage of generation sales.

A. Company witness Nowak limited his proxy group to primarily transmission and distribution utilities by excluding companies that own generation comprising greater than 60 percent of MWh sales to companies' ultimate customers. However, using this screening criterion eliminates 14 companies that are included in our proxy group. In fact, this criterion eliminates more than one-third of the Value Line electric universe. We understand Company witness Nowak's desire to limit the proxy group to primarily transmission and distribution utilities. However, in our view, a better approach would not result in the elimination of so many valuable data points for estimating the cost of equity.

Q. What is the better approach that the Panel is

referring to?

A. A better approach that the Panel would recommend is for Company witness Nowak to exclude this criterion all together, or at least to modify the criterion so it would not eliminate so many suitable surrogates to Con Edison.

Q. Please explain the Panel's second concern, regarding Company witness Nowak's application of operating income as a screening criterion, rather than revenue.

A. Company witness Nowak's requirement that his proxy group companies derive no less than 70 percent of total operating income from regulated utility operations creates a proxy group that has a different risk profile than Con Edison. Because of this criterion, Company witness Nowak excludes Sempra Energy from his proxy group, which we include in ours. However, in this instance, the presence or absence of Sempra Energy in the proxy group does not appear to have a material impact on our respective ROE recommendations.

Q. Please explain the Panel's third concern regarding Company witness Nowak's inclusion of

natural gas utilities in his proxy groups.

A. While Con Edison has gas operations, it is generally viewed primarily as an electric utility by investors, and Value Line classifies it as such. Based on revenues, Con Edison's gas operations account for approximately one-fifth of its total business. Therefore, companies that are primarily gas utilities are less comparable to Con Edison. We note that nearly two-thirds of companies in our proxy group also have gas operations, similar to Con Edison. Thus, a proxy group composed exclusively of electric utilities from Value Line's universe is the most appropriate proxy group for estimating the cost of equity for Con Edison.

Q. Are there any other screening criteria with which the Panel disagrees?

A. Yes. We disagree with Company witness Nowak's specific dividend criterion because he states that he "eliminated companies that have not paid regular dividends or do not have positive earnings growth projections." However, in this instance, these criteria have no practical impact on our respective proxy groups.

Q. What is the primary factor that differentiates the selection of Company witness Nowak's proxy group and the Panel's proxy group?

A. The single largest factor that differentiates the selection of Company witness Nowak's proxy group from our more robust proxy group is his criterion that eliminates companies that own generation comprising more than 60 percent of electric MWh sales. This accounts for the majority of the companies that he eliminated. In total, of the 26 companies that Company witness Nowak eliminated from his proxy group, 16 were eliminated for this reason. However, we note that 3 companies were removed for other reasons as well. In other words, this criterion, alone, eliminated nearly one-third of the Value Line universe. This drastic reduction of the proxy group size undermines the reliability of Company witness Nowak's ROE estimate. Of the 14 companies that he eliminated using this criterion, 12 of them are included in our proxy group.

COMPANY'S DCF METHODOLOGY

Q. Please summarize Company witness Nowak's DCF

methodology.

A. Company witness Nowak calculated three multi-stage DCF analyses utilizing three different growth scenarios. These are the low-growth, high-growth, and average-growth scenarios. His first stage is calculated using short-term earnings per share growth rate estimates from Value Line, S&P Capital IQ Pro, and Zacks. His second stage is a transition between the first and third stages. His third stage uses a long-term growth rate of 5.51 percent, which is his estimate of the nominal GDP growth rate.

Q. Please describe how Company witness Nowak derives his first stage short-term growth rate and the Panel's concerns with his approach.

A. Company witness Nowak's DCF model uses analysts' earnings growth rate estimates as a proxy for the short-term dividend growth rates in his model. This approach assumes that dividend growth will match earnings growth. This stands in direct contrast to the basic premise of the DCF, which measures the present value of future dividends, not future earnings.

Q. Please describe how Company witness Nowak

derives his second stage intermediate growth rate.

A. To determine the second stage growth rate, Company witness Nowak calculates the difference between the first and third stage growth rates for each company in the proxy group and incrementally levels out the difference over a five-year period.

Q. Does the Panel have any concerns with Company witness Nowak's approach?

A. We do not have specific concerns with the derivation of the second stage growth rates. However, we note that any issues with the growth rates calculated in the first or third stages are inherited by the second stage.

Q. What are the Panel's concerns with Company witness Nowak's use of earnings growth rates in his DCF model?

A. Company witness Nowak's approach assumes that growth in earnings better represents a company's growth prospects than growth in dividends, although he did not provide any evidence demonstrating that this assumption is valid.

Q. How could the use of earnings growth, instead of

dividend growth, lead to inaccuracy in the DCF model?

A. Earnings are a company's profit before the consideration of its dividend payout ratio and use of retained earnings. In many cases, companies use retained earnings to invest in areas where the company can create growth opportunities, such as investing in capital projects or buying equipment. Retained earnings also provide a company's management with the flexibility to maintain its current dividends should it suffer a loss of revenue or unplanned expense, effectively providing a cushion for investors when profitability shrinks. In fact, a company's dividend policy is one of the ways that it insulates shareholders from the volatility of earnings from one time period to the next. Investors generally prefer dividends to be steadily increasing and predictably regular. Generally, utility industry companies pay consistent dividends and issue additional equity more frequently than general industry companies. As such, dividend growth and earnings growth are not directly correlated.

Thus, Company witness Nowak's primary reliance on earnings growth in his DCF model, rather than dividend growth, reflects neither realistic growth rates nor typical corporate practice. Because Company witness Nowak relies on earnings growth rather than dividend growth, the sustainability of his growth rates cannot be substantiated. Thus, Company witness Nowak's DCF calculations that rely on earnings growth rates are not reliable.

Q. How does Company witness Nowak justify his use of earnings growth forecasts in his DCF model?

A. On page 33 and 34 of his testimony, Company witness Nowak cites three academic articles that purport to demonstrate the validity of using earnings growth forecasts.

Q. What is the first article Company witness Nowak cites?

A. Company witness Nowak cites the 1986 Robert S. Harris article, "Using Analysts' Growth Forecasts to Estimate Shareholder Required Rates of Return" as follows: "a growing body of knowledge shows that analysts' earnings forecasts are indeed reflected in stock prices."

Q. How does the Panel respond to this?

A. We agree that a company's stock price does indeed reflect published earnings forecasts from analysts, insofar as a company's stock price incorporates all relevant information. However, forecasted earnings are far from the only pieces of information considered by investors and reflected in the stock price. Corporations create value for their shareholders by using their earnings in a variety of ways, the most important, by far, is the payment of cash dividends. Given the importance of dividends to shareholder value, we would expect investors to be especially concerned with the prospect of future dividends. Rational investors will not look at forecasted earnings in a vacuum. Rather, they will factor in all relevant information when considering an investment.

Q. What is the second article Company witness Nowak cites?

A. Company witness Nowak cites the 1988 article by James H. Vander Weide and Willard T. Carlton, "Investor Growth Expectations: Analysts vs. History" as follows: "[…] our studies confirm

the superiority of analysts' forecasts over simple historical growth extrapolations in the stock prices formation process. Indirectly, this finding lends support to the use of valuation models whose input includes expected growth rates."

Q. How does the Panel respond to this?

A. We do not advocate the use of simple historical growth extrapolations. Instead, we recommend the use of dividend forecasts published by Value Line. In other words, we also use an expected growth rate, albeit in dividends rather than earnings. Therefore, the superiority of analysts' forecasts over simple historical growth extrapolations, which we do not deny, is irrelevant.

Q. What is the third article Company witness Nowak cites?

A. Company witness Nowak cites the 1992 article by Robert S. Harris and Felicia C. Marston, "Estimating Shareholder Risk Premia Using Analysts' Growth Forecast" as follows: "[…] in addition to fitting the theoretical requirement of being forward-looking, the utilization of

analysts' forecasts in estimating return requirements provides reasonable empirical results that can be useful in practical applications."

Q. How does the Panel respond to this?

A. As we noted above, the dividend forecasts published by Value Line are forward-looking. We maintain that they qualify as reasonable empirical results that are useful in practical applications, such as this rate case.

Q. How does the Panel respond to Company witness Nowak's overall argument regarding analysts' forecasts?

A. The fact that investors use analysts' forecasts is not in dispute, nor is the fact that such forecasts are superior to those based on time series data. But these facts are beside the point. The articles that Company witness Nowak cites do not provide any basis to support a one to-one linear relationship of earnings growth to dividend growth assumed by his ROE model. Dividend payout policies are based on many factors, including individual company cash flow requirements, current market conditions, future

economic expectations, and maintaining investor confidence in the company.

Q. What other concerns does the Panel have with the use of earnings forecasts?

A. The fact remains that earnings, even in the relatively stable utility industry, can be very difficult to predict because of the impact of unpredictable events. For instance, as we stated earlier, many earnings forecasts in the early 2000s proved inaccurate because of difficulties in forecasting the course of deregulation and the extent of competition. For the reasons discussed above, we find that dividends are far more predictable than earnings. Thus dividend forecasts are more likely to be accurate as compared to earnings forecasts.

Q. Does Company witness Nowak criticize the use of Value Line's dividend growth rates?

A. Yes. Company witness Nowak claims that Value Line's dividend growth rate projections reflect the viewpoint of a "single analyst." Thus, Company witness Nowak attempts to discredit utilization of the Value Line growth estimates

by claiming the publication does not reflect multiple viewpoints.

Q. How does the Panel respond to this critique?

A. While Value Line assigns a lead analyst to the assessment of each company that it covers, each Value Line report goes through a continual evaluation and quality control process, in which multiple analysts review the reports before publication. Exhibit (SFP-20) includes a Value Line correspondent's description of this process.

Q. Is there another advantage to using Value Line projections as utilized in the Panel's analysis?

A. Yes. The Commission and Staff have relied on Value Line's forecasts and financial data for many years. This methodology is widely accepted by the investment community and lends predictability to the rate-setting process in New York State. While this consistency alone does not identify the current return required by equity investors, it does provide predictability in the authorized ROEs that investors in New York utilities have come to expect.

Q. What is the result of Company witness Nowak's

use of earnings growth rates into the first and second stages of his DCF model?

A. The average short-term growth rates used by Company witness Nowak are higher than the dividend growth rates we used in our DCF model. As shown in Exhibit__(JCN-3), Company witness Nowak's DCF model includes an average short-term, first stage, growth rate of 6.03 percent and an average intermediate, second stage, growth rate of 5.77 percent. These rates exceed our average short-term growth rate of 4.33 percent.

Q. Please discuss how Company witness Nowak derives his third stage long-term growth rate.

A. To derive his long-term growth rate, Company witness Nowak calculated a 3.18 percent rate of historical growth in real GDP based on the period 1929 to 2023. He then calculated a projected inflation rate of 2.26 percent, which he calculated based on an average of the following: (1) the average long-term projected growth rate in the Consumer Price Index, or CPI, as reported by *Blue Chip Economic Indicators*; (2) the compound annual growth rate of the CPI

for all urban consumers, as projected by the U.S. Energy Information Administration, referred to as EIA, for the years 2031 to 2050; and (3) the compound annual GDP Price Index for the years 2031 to 2050, as projected by EIA. Using the Fisher equation, which expresses the mathematical relationship between nominal GDP, real GDP, and inflation, Company witness Nowak calculates a nominal GDP growth estimate of 5.51 percent. Company witness Nowak uses this estimate in all three of his DCF analyses

Q. Does the Panel have concerns with Company witness Nowak's approach to calculating the third stage long-term growth rate?

A. Yes. We do not consider Company witness Nowak's estimate of long-run GDP growth to be appropriate. Using the historical period, 1929 through 2023, which he used to calculate the real GDP growth rate, is an unreasonable surrogate for investors' expectations of future real GDP growth.

Q. Please explain why this is an unreasonable method.

A. Although we do not necessarily find it

unreasonable to assume that long-run growth for utilities would approximate growth in the overall economy, it is unreasonable for Company witness Nowak to use historical GDP growth to estimate future GDP growth. Historical averages can be instructive, but they are poor indicators of future economic activity. Historical growth rates incorporate different economic and market circumstances than what exist today. For this reason, we believe that it is illogical for Company witness Nowak to use historical real GDP growth as a surrogate for future real GDP growth. In addition, his use of a growth rate based on the historical average GDP does not reflect a realistic estimate of a sustainable growth rate for a company in the utility industry. The utility sector is a mature and stable industry that investors generally expect will grow at a slower rate than the overall GDP in the future.

Q. Are there estimates of long-run growth in the economy that the Panel believes are more reasonable?

A. Yes. We believe that the estimates of long-run

growth in the economy provided in the *Blue Chip Economic Indicators* report and the CBO report are more reasonable.

Q. What are the estimates of long-run growth in the economy provided in the *Blue Chip Economic Indicators* report?

A. The *Blue Chip Economic Indicators* report indicates that the consensus long-range nominal GDP growth for the 2027 to 2031 time period is 4.2 percent and for the more distant 2032 to 2036 time period is 4.1 percent. Our DCF sustainable growth rate of 4.90 percent is more comparable than Company witness Nowak's long-term growth rate of 5.51 percent, which exceeds Blue Chip's estimate by 131 basis points.

Q. What are the estimates of long-run growth in the economy provided in the CBO report?

A. The CBO report projects nominal GDP through 2035, as illustrated on page 5 of Exhibit__(SFP-17). The CBO estimates long-term nominal GDP growth of 3.8 percent annually, even lower than Blue Chip's estimate. This suggests that our sustainable growth rate of 4.90 percent is optimistic as it is, indicating that Company

witness Nowak's long-term growth estimate of 5.51 percent is excessive.

Q. What did Company witness Nowak's DCF inputs yield?

A. With the application of these respective inputs, Company witness Nowak's DCF results ranged from 9.61 percent to 10.05 percent, with an average result of 9.83 percent.

Q. What would have been Company witness Nowak's average DCF ROE result if he used the Panel's long-term growth rate of 4.90 percent?

A. If Company witness Nowak used the Panel's long-term growth rate of 4.90 percent, the average DCF ROE result would have been 9.34 percent. This is 49 basis points lower than his 9.83 percent average DCF ROE result.

COMPANY'S CAPM ANALYSES

Q. Please summarize Company witness Nowak's CAPM methodology.

A. Company witness Nowak calculated 12 ROE estimates using the Traditional CAPM and 12 ROE estimates using the Zero-Beta CAPM, for a total of 24 CAPM-derived ROE estimates. The CAPM models applied both Value Line and Bloomberg

beta sources for the companies in his proxy group, with three different risk-free rate estimates, and two different market rate of return estimates, which we will discuss in further detail later in our testimony.

Q. Please explain how Company witness Nowak derived the risk-free rate estimates that he used in his CAPM calculations.

A. Company witness Nowak used three different risk-free rate estimates, the first of which was the current three-month average yield of the 30-year U.S. Treasury bonds for the period ended November 30, 2024, of 4.31 percent. The second risk-free rate estimate was the projected near-term 30-year U.S. Treasury yield for 2025 to 2026 of 4.42 percent. The last estimate was a projected 30-year U.S. Treasury yield for the period from 2026 to 2030 of 4.30 percent. The last two estimates were from *Blue Chip Economic Indicators* Financial Forecasts.

Q. Does the Panel agree with how Company witness Nowak estimated the risk-free rate?

A. No. Specifically, we disagree with the use of forecasted Treasury yields. We maintain that

the best estimate of future interest rates is a forecast of no-change. The failure of forecasters to accurately predict future interest rates better than a no-change forecast is well-documented, as we demonstrated earlier when discussing the cost of debt. That said, Company witness Nowak's use of forecasted Treasury yields has no practical impact on his ROE recommendation in this instance.

Q. How did Company witness Nowak estimate the level of systemic risk used in his CAPM analyses?

A. To estimate systematic risk, Company witness Nowak relied on an average of the beta coefficients, as reported by Bloomberg and Value Line, for each company included in his proxy group.

Q. Please explain how Company witness Nowak derived the market rate of return he used in his CAPM calculations.

A. Company witness Nowak's market rate of return has two components. For the first component, Company witness Nowak derived an expected return on the S&P 500 equal to 16.34 percent. In doing so, he calculated the average dividend yield of

the companies in the S&P 500, weighted by market capitalization, which he found equal to 1.24 percent. For the purposes of this calculation, Company witness Nowak included non-dividend paying companies, effectively imputing a dividend yield of zero percent for each. Then, by averaging estimates from Bloomberg and Value Line, he calculated the average long-term earnings growth rate estimates of the companies in the S&P 500, weighted by market capitalization, which he calculated as 15.01 percent. Adding the weighted average dividend yield to the weighted average of earnings growth resulted in a total return estimate of 16.25 percent. Company witness Nowak then added an additional nine basis points to this figure to arrive at the 16.34 percent used in his CAPM analyses. Page 1 of Exhibit__(JCN-6) reveals that he derived this adder by multiplying the weighted average dividend yield by the weighted average long-term growth rate and dividing by two.

Q. Does the Panel agree with Company witness Nowak's proposed nine basis-point addition?

A. No. We believe this nine basis-point addition to the total market return estimate is unnecessary. Company witness Nowak provided no explanation in his testimony as to why he took this step.

Q. How did Company witness Nowak calculate the second component of his market rate of return?

A. To calculate the second component of his market rate of return, Company witness Nowak utilized BOAS *Quantitative Profile* reports estimates in a similar way to our calculation. For example, Company witness Nowak utilized the Implied and Required returns for the months of September 2024 through November 2024, for an average result of 10.82 percent. However, Company witness Nowak utilized the 10.82 percent market return in only half of his CAPM calculations. For the other half, Company witness Nowak utilized an average of the 10.82 percent of the BOAS *Quantitative Profile* reports estimate and his own derived 16.34 percent, for a market return of 13.58 percent. In total, Company witness Nowak calculated 24 CAPMs, utilizing a market return of 10.82 percent in 12 CAPMs and

13.58 percent in the other 12.

Q. Does the Panel have concerns with Company witness Nowak's approach to calculating the expected market return?

A. Yes. The primary flaw in Company witness Nowak's CAPM approach is that it relies on a constant growth DCF analysis of the S&P 500 to estimate the market return. This approach assumes that near- term earnings growth rate forecasts formulated for the next three to six years will last into perpetuity. We believe it is unreasonable that investors would assume those companies would maintain growth rates that deviate from the overall rate of GDP growth in perpetuity.

Q. Does the Panel have other concerns with Company witness Nowak's constant growth DCF calculation?

A. Yes. As with the DCF analyses of his proxy group, Company witness Nowak substitutes forecasted earnings growth for forecasted dividend growth. Our objections to using earnings growth estimates in Company witness Nowak's DCF calculation apply not only to his proxy group companies but to the companies he

used in his cost of market analysis as well.

Q. What is the difference between Company witness Nowak's market return estimate and the Panel's?

A. The market return that Company witness Nowak calculated, 16.34 percent, exceeds our 11.00 percent market return by 534 basis points. It also exceeds the estimate he derived from BOAS, 10.82 percent, by 552 basis points. This is the primary reason for the large differences between his CAPM results and ours.

Q. What results did Company witness Nowak's CAPM inputs yield?

A. With the application of these respective inputs, Company witness Nowak averaged the results of his 12 Traditional CAPM estimates, ranging from 9.48 percent to 13.02 percent, and his 12 Zero Beta CAPM estimates, ranging from 9.81 percent to 13.16 percent. The average of all 24 CAPM analyses equates to an overall CAPM ROE result of 11.28 percent.

Q. What would have been Company witness Nowak's average CAPM ROE result if he used the Panel's market return of 11.00 percent?

A. Company witness Nowak's average CAPM ROE result

would have been 10.22 percent, which is 106 basis points lower than his 11.28 percent average CAPM ROE result and 16 basis points lower than our average CAPM result of 10.38 percent.

COMPANY'S WEIGHTING OF DCF AND CAPM RESULTS

Q. Why does Company witness Nowak argue the CAPM methodology should be accorded an equal weighting to the DCF methodology?

A. On page 51, lines 16 through 18 of his initial testimony, Company witness Nowak states that "there is no reason why the Commission should have less confidence in the results of the CAPM than those of the DCF." In support of his argument for equal weighting, he states on page 50, lines 11 through 15 of his testimony that "to the extent that this [greater DCF weighting] was a consideration in the [Recommended Decision's] weighting determination, the Commission's almost 30 years of experience with the CAPM since that time now provides a sound basis for altering the weighting of the two ROE methodologies and raising the CAPM 'to parity with the DCF analysis,'" citing the Recommended

Decision in Case 91-M-0509, issued July 19, 1994.

Q. Does the Panel agree with Company witness Nowak's recommendation to place a greater emphasis on the CAPM methodology?

A. No. The CAPM methodology has two primary inputs that generate controversy, the risk-free rate of return and the market risk premium, whereas the DCF has only one subjective input, the growth rate. It is primarily for this reason the Commission has consistently found the DCF methodology to be the best tool for estimating the ROE.

Q. Has the Commission ever addressed the issue of the proper weighting of the DCF and CAPM?

A. Yes. As we noted earlier, in the Con Edison Order Setting Electric Rates, issued April 24, 2009, in Case 08-E-0539, the Commission stated that, among the reasons it accords a two-thirds weighting of the DCF methodology, "the DCF relies on readily available data to make objective estimates of investors' return requirements." The Commission also addressed this issue in the Order Establishing Rates for

Gas Service, issued April 20, 2017, in Case 16-G-0257 concerning NFGD, the Commission stated on page 56, "We have already affirmed our continued 1/3 CAPM and 2/3 DCF weighting to arrive at our ROE results, based on the fact that we view the DCF methodology as superior to the CAPM. We have explained this preference repeatedly in past orders, and we see no need to deviate from that viewpoint at this time." In addition, the Commission recently reaffirmed this in Case 20-G-0101 concerning Corning rates. On page 45 of the Order Establishing Rates and Rate Plan, issued May 19, 2021, the Commission stated "its preference for a two-thirds weight of the DCF and a one-third weight to the CAPM results on numerous occasions. Relying on more observable and less subjective inputs, the DCF is superior to the CAPM and our preferred weighting for determining an ultimate ROE recognizes that superiority of the DCF. As Staff discusses in its brief, Corning's issues with the differences between the Company's own CAPM and DCF results are products of questionable inputs that we have rejected in this Order."

Q. Are there other reasons that the CAPM should be given less weight in determining the recommended ROE?

A. Yes. The CAPM should be given less weight relative to the DCF because the CAPM components are less observable and are more dependent on estimations. By contrast, the DCF model inputs are readily observable outside of the growth rate. The use of fewer subjective inputs in the DCF relative to the CAPM provides a more stable foundation, and thus, the DCF is more likely to produce a more accurate ROE calculation. The Commission has recognized the strength of the DCF model by its repeated reliance on the two-thirds weighting in numerous rate proceedings. While the CAPM presents a conceptual framework that provides a reasonable estimate of a company's cost of equity, the CAPM weaknesses provide a less stable foundation in the calculation of the ROE. Given some of the CAPM's shortcomings discussed earlier, the Commission should continue to accord the CAPM methodology a one-third weighting. Company witness Nowak has not presented persuasive

evidence that should compel the Commission to reject its long-standing policy of the two-thirds and one-third weighting of the DCF and CAPM, respectively.

COMPANY'S OVERALL ROE RECOMMENDATION

Q. Is it reasonable for rational investors to expect the Commission to authorize a 10.00 percent ROE as the Company has requested in this proceeding?

A. No. Rational investors that are aware of the Commission's preference for a formulaic approach to the cost of common equity would not expect the Commission to change its approach or to approve the 10.00 percent ROE requested by the Company.

Q. What ROEs has the Commission authorized in recent rate proceedings?

A. The Commission has recently adopted joint proposals providing for multi-year rate plans over the past year. For example, in the joint proposal for Orange and Rockland, adopted by the Commission in March 2025 in Cases 24-E-0060 and 24-G-0061, the Commission approved a ROE of 9.75 percent. In the joint proposal for NFGD,

adopted by the Commission in December 2024 in Case 23-G-0627, the Commission approved a ROE of 9.70 percent. We also note that joint proposals for Central Hudson, Cases 24-E-0461 and 24-G-0462, Corning, Case 24-G-0447, and NMPC, Cases 24-E-0322 and 24-G-0323, were filed earlier this year. Each one provides for a ROE of 9.50 percent, although they have yet to be formally considered by the Commission. Although these ROEs are for multi-year rate plans, rather than single-year rate plans, this information is nevertheless instructive. It shows that rational investors expect the Commission to adopt an ROE in this case closer to the 9.30 percent ROE we recommend than the 10.00 percent ROE the Company requests based on current market conditions.

Q. Has the Commission approved a single-year rate plan recently?

A. Yes. In July 2024, the Commission approved single-year rate plans for Central Hudson's electric and gas businesses in Cases 23-E-0418 and 23-G-0419, which were fully litigated. For that rate plan, the Commission adopted the use

of Staff's recommended ROE model, updating the result to reflect the most current financial data then available, resulting in an authorized ROE of 9.50 percent. This further demonstrates that the Commission can be expected to adopt a ROE in this case closer to the 9.30 percent ROE that we recommend than the 10.00 percent ROE the Company requests, absent an abrupt shift in market conditions during the pendency of these cases.

Q. Is there any other reason why a ROE of 10.00 percent would not be expected by a rational investor?

A. Yes. As illustrated in Exhibit___(SFP-21) the average allowed ROEs in 2024 for electric and gas utilities in the U.S. was only 9.74 and 9.72, respectively. In addition, in its investor presentation dated March 10-14, 2025, CEI not only describes the mechanics of the Commission's preferred methodology, it illustrates the ROEs authorized by the Commission and shows that, since June 2015, the ROEs have ranged from 8.70 percent to 9.70 percent. This can be seen on pages 14 and 18 of

that presentation, which is included as Exhibit__(SFP-22). A rational investor would be aware of current ROE trends and would factor that into investing decisions.

Q. Are there any other indications that neither the Company nor its investors would be overly concerned by the Panel's ROE recommendation of 9.30 percent?

A. Yes. Fully cognizant of the Commission's preferred formulaic ROE approach, CEI's Board of Directors was clearly not deterred when it raised its quarterly dividend on January 16, 2025, from $0.83 to $0.85. This amounts to an annualized dividend of $3.40, an increase of $0.08 over its previous annualized dividend of $3.32 per share. In fact, CEI raised its dividend in each of the past five years by at least $0.06 a share. That CEI has conveyed such optimism with respect to its future cash flows in this current ROE and interest rate environment is noteworthy.

REGULATORY ENVIRONMENT

Q. In her testimony, Company witness Saegusa argues that New York's regulatory environment is

challenging. In support of this position, she cites an article published by UBS Securities, LLC, referred to as UBS, that ranks the various regulatory jurisdictions in North America. This article, dated July 19, 2024, was included with her testimony as Exhibit__(YS-16). As shown in the article, UBS ranks New York State in Tier 5, which is its least constructive tier. How does the Panel respond to this?

A. It is important to consider the criteria that UBS uses to evaluate the regulatory environment. By UBS's own criteria, New York regulation has several positive attributes that should be acknowledged. Commissioners in this state are appointed, rather than elected. Also, generally in New York, rate cases have recently resulted in negotiated joint proposals to the Commission. Finally, there are ample regulatory mechanisms available in New York that reduce regulatory lag.

Q. On page 37, lines 11 through 13 of her testimony, Company witness Saegusa asserts that UBS's rankings provide independent confirmation that New York State has a challenging regulatory

environment relative to other states. How does the Panel respond?

A. We regard UBS as a single data point, and one that must be viewed in its proper context. On page 1 of Exhibit__(YS-16), UBS states that regulatory ranking spreads have narrowed, indicating that it regards regulatory environments as more similar to each other than it did in the past. Accordingly, UBS reduced the impact that its assessment of regulatory risk has on its valuation of North American utilities, including CEI. Furthermore, other equity analysts express a view of New York State regulation that is more favorable than UBS.

Q. Would the Panel please provide examples of these equity analysts?

A. Yes. Several equity analysts published reports shortly after the Company's initial filing, of which we highlight three. These reports, all published on February 21, 2025, are included as Exhibit__(SFP-23), Exhibit__(SFP-24), and Exhibit__(SFP-25).

Q. Please discuss the first equity analyst report.

A. The first report was published by BOAS. It

states, **BEGIN CONFIDENTIAL INFORMATION <** [redacted] **> END CONFIDENTIAL INFORMATION** This suggests that investors are anticipating a constructive outcome for this proceeding.

Q. Please discuss the second equity analyst report.

A. The second report was published by Barclays. It states, **BEGIN CONFIDENTIAL INFORMATION <** [redacted] **> END CONFIDENTIAL INFORMATION** This suggests that investors anticipate the Company achieving, or even exceeding, its authorized ROE going forward.

Q. Please discuss the third equity analyst report.

A. The third report was published by Scotiabank. It states, **BEGIN CONFIDENTIAL INFORMATION <** [redacted]

[redacted] > **END CONFIDENTIAL INFORMATION** The report goes on to say that **BEGIN CONFIDENTIAL INFORMATION** < [redacted] > **END CONFIDENTIAL INFORMATION** This suggests that investor sentiment toward the

State's regulatory environment has recently improved.

Q. Could the Panel provide a more recently published example of an equity analyst report?

A. Yes. Mizuho published a report on April 4, 2025, included as Exhibit__(SFP-26). It states, **BEGIN CONFIDENTIAL INFORMATION <** [redacted] **> END CONFIDENTIAL INFORMATION** This indicates the Company itself holds a positive view of the State's regulatory environment and its future business prospects. Furthermore, the Company has actively conveyed these views to investors.

Q. Has there been any other recently published commentary about New York regulation?

A. Yes. Regulatory Research Associates, referred to as RRA, evaluates the regulatory climates of utility companies operating in the United States, including New York, on an ongoing basis. Numerous factors affecting each state's regulatory environment are measured by RRA. In particular, RRA considers authorized and earned ROE's, capital structure, and alternative rate making policies as part of its state regulatory evaluations. Its rankings reflect an evaluation of regulatory jurisdictions from an investor perspective and indicate the relative regulatory risk associated with owning securities issued by each jurisdiction's energy utilities.

Q. How does RRA rank regulatory jurisdictions?

A. RRA has three principal rating categories of "Above Average," "Average," and "Below Average." Within each of those categories, the numbers "1," "2" and "3" indicate relative position, with "1" being the strongest. In total, RRA has nine rating categories ranging from the highest and most constructive climate of "Above

Average/1" to the lowest and least-constructive climate of "Below Average/3."

Q. What rank does RRA assign to New York?

A. RRA ranks New York as "Average/2," which implies that the state's overall regulatory environment is in line with what is typical in the United States of America.

Q. What does RRA say about New York State's regulatory environment?

A. In its review of the New York State Public Service Commission, as of April 2025, included as Exhibit__(SFP-27), RRA states that "While the PSC, in rate cases decided in recent years, has authorized electric and gas ROEs that are lower than the nationwide industry averages, for the most part, these decisions were based on multi-year settlements that incorporated increasing rate bases over the term of the plans, revenue decoupling mechanisms and deferral accounting for increases in such items as net plant, pension expense, and labor costs. Additionally, other factors in the rate-setting process, including the incorporation of fully forecasted test periods, improve the utilities' opportunity

to earn the authorized ROE."

Q. Aside from fully forecasted test years and the opportunity to earn its allowed return, what are some other benefits of New York State regulation?

A. New York State regulation offers a myriad of benefits to its utilities. In addition to fully forecasted test years, New York regulation also allows for risk reducing deferral and true-up mechanisms, a full pass-through of commodity costs to ratepayers, and an approach to setting ROEs that is very transparent and predictable. Indeed, the positives of New York regulation, as we previously stated, have been widely recognized.

Q. On page 27, lines 11 through 13 of her testimony, Company witness Saegusa asserts that the regulatory recovery mechanisms that New York State provides are not distinctive among the U.S. regulatory jurisdictions. Does the Panel agree with this statement?

A. No, we do not. Although other jurisdictions have adopted some risk-reducing policies similar to New York's, few have matched the extent to

which New York has adopted them. For example, of the 41 U.S. regulatory jurisdictions reflected in Company witness Nowak's proxy group, only twelve have paired fully forecasted test years with a revenue decoupling mechanism, referred to as RDM, for electric and/or gas service, only four have joined New York in pairing a fully forecasted test year with a full RDM; the other eight jurisdictions use a partial RDM. Even considering jurisdictions that use partially forecasted test years, only six of them pair this with partial RDMs, and none pair it with a full RDM. Finally, only Connecticut and Rhode Island join New York in using a fully forecasted test year, a full RDM, and a capital cost recovery mechanism. This information is revealed in Company witness Nowak's Exhibit__(JCN-8). In addition, Company witness Saegusa's Exhibit__(YS-8) indicates that only a minority of the 53 regulatory jurisdictions in the U.S. use any of the regulatory mechanisms referenced therein, with the exception of partial RDMs.

Q. On page 29, lines 14 through 16 of her testimony, Company witness Saegusa states, "Under the current rate plan, investors have questioned whether the Company will be able to earn its authorized ROE on its electric and gas operations." How does the Panel respond?

A. Company witness Saegusa provides no examples of investors questioning the Company's ability to earn its authorized ROE. In fact, the equity analyst reports that we discussed earlier express optimism about the Company's ability to achieve, even exceed, it authorized ROE. This is partially because the Company itself presented an optimistic view to investors. Therefore, Company witness Saegusa's assertion that investors have questioned the Company's ability to earn its authorized ROE is unsupported.

Q. What ROE has Con Edison earned on its electric and gas operations under its current rate plans?

A. Con Edison's current electric and gas rate plans began on January 1, 2023, and will persist through December 31, 2025. In the rate year ending December 31, 2023, the Company earned a

9.46 percent ROE on its electric operations and a 9.00 percent ROE on its gas operations. In the rate year ending December 31, 2024, the Company earned a 9.21 percent ROE on its electric operations and a 9.82 percent ROE on its gas operations.

Q. How do these earned ROEs compared to the authorized ROE reflected in the current rate plans?

A. These earned ROEs approach, and in some instances exceeded, Con Edison’s currently authorized ROE of 9.25 percent.

Q. What does the Panel conclude from this information?

A. This is further evidence that the Company has not been denied a reasonable opportunity to earn its authorized ROE.

Q. Does this conclude your testimony at this time?

A. Yes.